

IDEV

Independent Development Evaluation
African Development Bank

From experience to knowledge...
From knowledge to action...
*From action to **impact***



Botswana:

Mid-Term Evaluation of the AfDB's Country Strategy and Program (2022–2026)

Summary Report

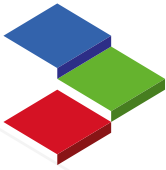


AFRICAN DEVELOPMENT BANK GROUP

May 2025

IDEV conducts different types
of evaluations to achieve its
strategic objectives





IDEV

Independent Development Evaluation
African Development Bank

From experience to knowledge...
From knowledge to action...
*From action to **impact***



Botswana:

Mid-Term Evaluation of the AfDB's Country Strategy and Program (2022–2026)

Summary Report



AFRICAN DEVELOPMENT BANK GROUP

May 2025

ACKNOWLEDGEMENTS	
Task manager:	Eustace Uzor , Evaluation Officer, IDEV.1
Team members:	Andson Nsune , Principal Evaluation Officer, IDEV.1
Consultant:	Dennis Chiwele and Stephen Tembo , RuralNet Associates Limited
Internal peer reviewers:	Abdulkareem Lawal , Consultant IDEV.0; Samson Kohovi Houetohossou , Principal Evaluation Officer; and Girma Earo Kumbi , Chief Evaluation Officer (IDEV.2)
External peer reviewer:	Steve Tabor , Independent Consultant
Internal Bank Reference Group:	Auma George Kararach , Lead Economist; Caroline Akishule Ntumwa , Principal Country Economist; Edward Batte Sennoga , Lead Economist; Paul Mpuga , Chief Country Economist (ECCE); Baboucarr Koma , Chief Governance Officer, ECGF; Wael Soliman , Principal Hydrologist/Water Engineer, AHAI; John Ng'ambi , Senior Education Analyst, AHHD; Noel Kulemeka , Consultant Country Program Officer, RDGS; Amira Mosad Elmissiry , Chief Accountability Officer; Helio Bertachini Neto , Principal Quality, Results, and Monitoring Officer (SNDR); Jonathan Richard K. Banda , Financial Sector Portfolio Management Officer, PINS; Anders Cajus Pedersen , Chief Regional Power System Officer, PESD
Knowledge management and communications officers:	Christine Bukania , Principal Knowledge Management Officer; Kate Stoney , Senior Communication Officer; and Salimata Traore , Consultant (IDEV.3)
Special thanks to:	Henda Ayari , Team Assistant, IDEV.1
Division Manager:	Rufael Fassil , IDEV.1
Evaluator-General:	Karen Rot-Münstermann

© 2024 African Development Bank Group
All rights reserved – May 2025

Botswana: Mid-Term Evaluation of the AfDB's Country Strategy and Program (2022–2026) – Summary Report
IDEV Country Strategy Evaluation, May 2025

Disclaimer

Unless expressly stated otherwise, the findings, interpretations and conclusions expressed in this publication are those of the various authors of the publication and are not necessarily those of the Management of the African Development Bank (the "Bank") and the African Development Fund (the "Fund"), Boards of Directors, Boards of Governors or the countries they represent.

Use of this publication is at the reader's sole risk. The content of this publication is provided without warranty of any kind, either express or implied, including without limitation warranties of merchantability, fitness for a particular purpose, and non-infringement of third-party rights. The Bank specifically does not make any warranties or representations as to the accuracy, completeness, reliability or current validity of any information contained in the publication. Under no circumstances including, but not limited to, negligence, shall the Bank be liable for any loss, damage, liability or expense incurred or suffered which is claimed to result directly or indirectly from use of this publication or reliance on its content.

This publication may contain advice, opinions, and statements of various information and content providers. The Bank does not represent or endorse the accuracy, completeness, reliability or current validity of any advice, opinion, statement or other information provided by any information or content provider or other person or entity. Reliance upon any such opinion, advice, statement, or other information shall also be at the reader's own risk.

About the AfDB

The overarching objective of the African Development Bank Group is to spur sustainable economic development and social progress in its regional member countries (RMCs), thus contributing to poverty reduction. The Bank Group achieves this objective by mobilizing and allocating resources for investment in RMCs and providing policy advice and technical assistance to support development efforts.

About Independent Development Evaluation (IDEV)

The mission of Independent Development Evaluation at the AfDB is to enhance the development effectiveness of the institution in its regional member countries through independent and instrumental evaluations and partnerships for sharing knowledge.

Independent Development Evaluation (IDEV)

African Development Bank Group
Avenue Joseph Anoma, 01 BP 1387, Abidjan, 01 Côte d'Ivoire
Phone: +225 27 20 26 28 41
E-mail: idevhelpdesk@afdb.org
idev.afdb.org

Photo Credit: AfDB Group and AfDB Projects on Flickr; Bashi Kikia and Lucian Coman.

Design & layout: GK Graphics (www.gkgraphics.in)

Contents

Abbreviations and Acronyms	v
Executive Summary	1
Management Response	9
Introduction	17
Objective and Scope	17
Methodology	17
Limitations and Mitigation Measures	19
Botswana's Development Context	21
Geographical and Political Context	21
Economic and Social Context	21
Botswana's Development Strategies	22
The Bank's Strategy and Program in Botswana (2022–2026)	25
The Bank's Strategic Objectives and Intervention Areas	25
Portfolio Overview	27
Resource Mobilization and Partnerships	29
Expected Results	29
Findings	31
Relevance	31
Coherence	33
Effectiveness	35
Efficiency	40
Cross-cutting Issues	43
Conclusion, Lessons, and Recommendations	45
Conclusion	45
Lessons	45
Recommendations	47
Annexes	49

Contents

List of Figures

Figure 1	Distribution of the Bank's active portfolio by sector	28
----------	---	----

List of Tables

Table 1	Evaluation questions	18
Table 2	Indicative Operational Program (IOP) for Botswana's CSP 2022–2026	26
Table 3	AfDB's active portfolio in Botswana as of 30 June 2024	27
Table 4	Selected Portfolio Performance Indicators 2022, 2024	39
Table 5	Time lag analysis and disbursement ratios of projects ongoing under the Botswana CSP (2022–2026)	41

List of Boxes

Box 1	Red-flagged operations due to delays and inefficiencies	42
-------	---	----

Abbreviations and Acronyms

ADB	African Development Bank	MTE	Mid-Term Evaluation
AfDB	African Development Bank Group	MTR	Mid-Term Review
AHAI	Agriculture and Agro-Industry Department	MPI	Multidimensional Poverty Index
AHHD	Human Capital, Youth and Skills Development Department	NDP	National Development Plan
BDC	Botswana Development Corporation	NSO	Non-Sovereign Operation
BWP	Botswana Pula	OPEC	Organization of Petroleum Exporting Countries
COMW	Malawi Country Office	PCR	Project Completion Report
CPPR	Country Portfolio Performance Review	PESD	Power Systems Development Department
CSO	Civil Society Organization	PINS	NSO and Private Sector Support Department
CSP	Country Strategy Paper	PIU	Project Implementation Unit
DP	Development Partner	PBO	Program-Based Operation
ECCE	Country Economics Department	PPP	Public-Private Partnership
ECGF	Governance and Economic Reforms Department	RDGE	Regional Development and Business Delivery Office for East Africa
EQ	Evaluation Question	RDGS	Regional Development and Business Delivery Office for Southern Africa
ERSP	Economic Recovery Support Program	SAYEB	Scaling-up and Accelerating Youth Employment in Botswana
ERTP	Economic Recovery and Transformation Plan	SEGA	Strategy for Economic Governance in Africa
GDP	Gross Domestic Product	SME	Small and Medium Enterprise
GoB	Government of Botswana	SNDR	Development Impact and Results Department
IDEV	Independent Development Evaluation	SO	Sovereign Operation
IMF	International Monetary Fund	SOE	State-Owned Enterprise
IOP	Indicative Operational Program	SSR	Single Social Registry
IPP	Independent Power Plant	ToC	Theory of Change
IPR	Implementation Progress Report	TYS	Ten-Year Strategy
JICA	Japan International Cooperation Agency	UA*	Unit of Account
KM	Kilometer	VAT	Value Added Tax
LoC	Line of Credit		
LTS	Long-Term Low Carbon Climate-resilient Strategy		

*1 Unit of Account (UA) = 15.97 Botswana Pula (BWP); 1 UA = 1.42 United States Dollars (USD) as of March 2022.



Female worker cutting metal with a torch in a steel factory in Botswana.

Executive Summary

Introduction

This report presents the key findings, lessons, and recommendations from an evaluation of the African Development Bank Group's (AfDB or "the Bank") Country Strategy Paper (CSP) for Botswana for the period 2022–2026,¹ as of October 2024. The main purpose of this Mid-Term Evaluation (MTE) is to assess the implementation and performance of the CSP thus far, and to provide inputs and recommendations to Bank Management to adjust, as necessary, the design and implementation of the strategy and program in Botswana for the remainder of the CSP period.

Methodology and Limitations

The MTE is formative and focuses on generating lessons to enhance the remaining period of the CSP. The MTE uses a theory-based approach and applies the international evaluation criteria of **relevance, coherence, effectiveness and efficiency** to assess the performance of the Bank's strategy and program. Data were derived from various sources and were triangulated to support the findings. These sources included document reviews, interviews, focus group discussions, and field visits. These were complemented by a portfolio review and project results assessments. However, assessing the effectiveness of the Bank's interventions was constrained by the limited number of projects completed during the evaluation period. This limitation was addressed through triangulation and consultations with key stakeholders in Botswana.

Botswana's Development Context

Botswana is a landlocked, upper middle-income country with a population of 2.67 million. The country has one of the lowest population densities in the Southern Africa region. Botswana's strong governance and political stability, reflected in its high 2023 Ibrahim Index of Governance score (68.1) and recent political transition, highlight its robust institutional frameworks. However, its economy remains heavily reliant on diamond revenues, which have been adversely affected by declining global demand and external shocks such as the COVID-19 pandemic and international conflicts. While efforts to diversify the economy increased the non-diamond sector's contribution to Gross Domestic Product (GDP) to 45.6% between 2015 and 2023, mining, state-owned enterprises (SOEs), and the public sector still dominate economic activity. Structural challenges, including limited access to finance and a small domestic market, continue to constrain private sector growth, despite reforms such as the establishment of Special Economic Zones and adopting foreign investment policies.

Structural constraints, including high unemployment, infrastructure deficits, and limited private sector dynamism, continue to impede Botswana's economic progress. Persistent youth unemployment, compounded by a mismatch between skills supplied by the education system and those demanded by the labor market, underscores the limited capacity of the private sector to absorb new entrants. In addition, infrastructure gaps in critical areas such as energy, water, and transport reduce productivity and competitiveness, hindering efforts to diversify the economy. Small and medium enterprises

(SMEs) dominate the private sector but face notable obstacles in accessing finance and technical support, restricting their potential to drive broader economic resilience and inclusivity.

The Bank's Strategy and Program in Botswana (2022–2026)

Botswana is classified by the AfDB as a Category C country, eligible for African Development Bank (ADB) funding only. The CSP 2022–2026 for Botswana is structured around two strategic pillars, namely, **Pillar I:** Building Economic Resilience through Economic Governance Support and Private Sector Development; and **Pillar II:** Infrastructure Development for Improved Competitiveness and Productivity. Cross-cutting themes such as gender equality, youth employment, and climate resilience are integrated across projects. The CSP's Indicative Operational Program (IOP) amounts to UA 184.71 million.

At the mid-term of the CSP, the Bank's active portfolio in Botswana includes eight projects with a total commitment of UA 198.42 million (US\$281.76 million). Four of these projects were approved under the previous CSP (2015–2019, extended to 2021), and four under the current CSP. The portfolio is concentrated in multisector and finance, accounting for 68.8% and 30.3% of the total portfolio value, while agriculture and energy make up 0.5% and 0.4%, respectively. In terms of financing instruments, the portfolio comprises five technical assistance projects, one Program-Based Operation (PBO), one Line of Credit (LoC), and one investment loan. Five are Sovereign Operations (SOs) and two are Non-Sovereign Operations (NSOs). The largest project in the portfolio is the Economic Recovery Support Program (ERSP) Phase II, a PBO/Budget Support that aims to build Botswana's economic resilience and promote strong fiscal governance following the COVID-19 pandemic. The finance sector is mainly driven by the LoC to the Botswana Development Corporation (BDC), facilitating SME growth to

support Botswana's economic diversification efforts. Smaller but key allocations are directed to agriculture through projects such as the Zambezi Integrated Agro-Commercial Development Project, which promotes sustainable farming, and to the energy sector, through the Botswana Renewable Energy Support Program, which aligns with climate resilience and clean energy goals.

Findings

Relevance

The Bank's CSP was found to be well-aligned with Botswana's national development goals, strategies and priorities. The CSP 2022–2026 is closely aligned with Botswana's long-term goals, including its Vision 2036 and the country's National Development Plans, such as the NDP 11, which prioritizes economic diversification, private sector growth, and climate resilience. The Bank's focus on economic governance, private sector support, and infrastructure seeks to address Botswana's dependency on diamond revenues and to advance sustainable growth. Key projects such as the Support to Economic Diversification Technical Assistance Project and the ERSP were found to be instrumental in addressing these strategic priorities by enhancing SME competitiveness, fiscal stability, and post-pandemic recovery.

The CSP 2022–2026 also demonstrates strong alignment with the Bank's strategic priorities, effectively addressing core areas of economic growth and resilience. The focus of the CSP on economic diversification, employment generation, SMEs and public-private partnerships (PPPs) support is closely aligned with the Bank's Ten-Year Strategy (TYS, 2013–2022) objective of inclusive growth. This was reinforced through the CSP's two priority areas, Building Economic Resilience and Infrastructure Development. Projects such as the BDC LoC and ERSP Phase II align with the Bank's objective of enhanced SME competitiveness and economic stability.

The CSP 2022–2026 was found to be well-designed, with clear strategic objectives and performance indicators. It included an IOP detailing lending and non-lending operations for the period 2022–2026, along with a results framework and a comprehensive monitoring and evaluation plan to track implementation progress. The CSP's design quality was deemed sound, reflecting priorities such as private sector development, infrastructure enhancement, and enhanced economic governance. These priorities are particularly vital due to Botswana's reliance on diamond revenues and continuous efforts to diversify its economy.

The evaluation found that gaps in the CSP's design—including insufficient focus on regional integration, stakeholder coordination, and capacity building, undermined its alignment with regional goals and delayed key projects.

Although the CSP acknowledged the importance of regional integration, specific projects that directly contribute to regional connectivity and collaboration were not highlighted as major components of the strategy. In addition, projects such as the ERSP Phase II, despite being well-aligned with objectives to address capacity challenges in key areas such as the institutional capacity for PPPs, faced delays between project approval and effectiveness. Likewise, the Zambezi Integrated Agro-Commercial Development Project faced delays from Project Implementation Units' (PIUs) limited familiarity with the Bank's procurement processes, shortcomings in the feasibility studies, and insufficient integration of stakeholder perspectives during stakeholder engagement at project inception, revealing gaps in assessing operational risks.

The evaluation found that the Bank's IOP was ambitious, given Botswana's limited appetite for external borrowing, which prioritizes domestic resource mobilization over debt-financed public spending. At mid-term, only one of four planned lending operations and two of five planned non-lending operations were approved, reflecting the disconnect between the IOP's scope and Botswana's conservative borrowing approach. With an external

debt-to-GDP ratio below 20% and a debt ceiling capped at 40% of GDP, Botswana reserves external borrowing for periods of fiscal shock or market downturns, making borrowing requirements difficult to predict. This cautious approach highlights the importance of designing the IOP with realistic targets aligned to Botswana's fiscal strategy, ensuring flexibility and better alignment with the country's public spending priorities to enhance the CSP's overall relevance.

Coherence

The evaluation found a strong internal coherence of the Bank's portfolio in Botswana.

The evaluation noted that the Bank strategically aligned its projects to build on previous efforts, ensuring continuity and synergy in supporting Botswana's economic development. Projects such as the Technical Assistance Grant to the BDC and the Support to Economic Diversification Technical Assistance Project were instrumental in enhancing the industrial sector, SMEs, and economic diversification. These projects set the stage for the BDC LoC, which further boosted SME competitiveness. The Support to Economic Diversification Technical Assistance Project played a central role in assisting the Government of Botswana (GoB) by improving SME competitiveness and strengthening business support institutions, directly contributing to the country's broader economic diversification goal.

The evaluation also identified strong coherence between the phases of the ERSP and the initial and subsequent CSPs for Botswana. The Bank's collaboration with the GoB was crucial in developing both phases of the ERSP, maintaining consistent objectives and strategic focus areas. This continuity was particularly evident in the Bank's response to the socio-economic challenges posed by the COVID-19 pandemic. The extension of the first CSP allowed for a better understanding of the pandemic's impact and facilitated the design of Botswana's post-COVID-19 Economic Recovery and Transformation Plan (ERTP 2020–2023). This plan provided insights into mitigating the adverse effects of the

pandemic, enabling the country to recover quickly and enhancing economic resilience.

Evidence of external coherence was found in certain areas but lacked consistency across the entire portfolio.

The Bank's partnerships with international development partners (DPs) supported Botswana's COVID-19 pandemic recovery efforts, especially through co-financing for the ERSP with entities such as the World Bank, Japan International Cooperation Agency (JICA), and the Organization of Petroleum Exporting Countries (OPEC) Fund, which employed an effective co-financing model. However, most other projects in the Bank's Botswana portfolio did not leverage additional resources from DPs, thereby limiting the scale and potential synergy of these interventions. In addition, coordination challenges in projects such as the Zambezi Integrated Agro-Commercial Development Project highlighted gaps in collaboration, particularly where coordination between executing agencies was limited. Interviewed stakeholders noted that the lack of an in-country AfDB presence could constrain real-time engagement, potentially hindering enhanced collaboration with government entities and DPs.

Effectiveness

CSP Pillar I: Economic Governance and Private Sector Development

The Bank's interventions under the CSP Pillar I were found to contribute toward Botswana's fiscal stability, although challenges in economic diversification persist. The fiscal deficit improved markedly, decreasing from 8.4% of GDP in 2020/21 to 4.7% by 2023, surpassing the CSP's target of 4.8%. This progress was supported by the ERSP, which advanced timely fiscal reforms and bolstered macroeconomic stability. The Bank's flexibility in the design and implementation of the ERSP II proved essential for addressing Botswana's fiscal challenges during the COVID-19 pandemic. For example, the Bank approved UA 135 million for the operation, significantly exceeding the UA 95 million initially planned in

the IOP. Additionally, in response to Botswana's persistent challenge of youth unemployment, the Bank approved the Scaling-up and Accelerating Youth Employment in Botswana (SAYEB) project, which was not originally programmed in the IOP. However, the evaluation noted that more long-term stabilization measures will be needed to sustain this progress, particularly as external pressures, such as declining mineral revenues, threaten to reverse these gains.

Botswana's fiscal outlook has remained vulnerable to projected declines in mineral revenues and rising capital expenditures.

The progress in accelerating the contribution of the real sector to the GDP to 5% by 2023 has remained slow, reflecting the country's ongoing difficulties in diversifying its economy. In the first quarter (Q1) of 2024 for instance, the public sector and the mining and quarrying sector remained the top contributors to the GDP at 17.4 and 12.5%, respectively, compared with the manufacturing sector's contribution of 5%. This demonstrates the continued dominance of large SOEs and the mining sector, while highlighting the challenges of achieving economic diversification.

Capital market expansion and private sector investment demonstrated promising growth, albeit with obstacles to sustaining momentum.

The Bank's support through ERSP Phase II contributed toward Botswana's capital market growth against the CSP's target of BWP 40 billion by 2026 with the domestic stock market capitalization rising from BWP 35.6 billion in 2020 to BWP 48.3 billion by February 2024, surpassing the CSP's mid-term target. This expansion reflected robust investor confidence and favorable economic conditions supported by the Bank's focus on economic governance and private sector development, indicating that CSP objectives in capital market development were on track for 2026. Similarly, private sector investment increased, with private gross fixed capital formation rising from 19.5% of GDP in 2020 to 23.2% in 2023, against the CSP target of 27.4% by 2026. The evaluation found that the BDC LoC played an important role in creating 2,571 jobs for women, exceeding the

target of 1,500 jobs by 2026. However, evidence from stakeholder interviews and document reviews indicates that sustaining private sector growth has been hindered by regulatory and infrastructural constraints and compounded by broader economic conditions. Similarly, private sector investment, measured by private gross fixed capital formation (percent of GDP), increased from a baseline of 19.5% in 2020 to 23.2% in 2023 according to data from the IMF (2024). Projections for 2026 suggest a modest rise to 26.9%, slightly below the CSP target of 27.4%.

The evaluation found that the government's social protection program, supported by ERSP Phase II, made notable progress but faced technical challenges that impeded its full operationalization. The Single Social Registry (SSR) exceeded its mid-term target, with 98% of beneficiaries uploaded by 2023, compared with the CSP's target of 75.8%. This achievement underscored the Bank's support for enhancing social protection for vulnerable groups, including women and youth. However, technical issues delayed the SSR's ability to operate in real-time, limiting the immediate delivery of social benefits. Addressing these technical challenges is crucial for the SSR to reach its full potential by 2026.

CSP Pillar II: Infrastructure Development for Improved Competitiveness and Productivity

Infrastructure-related outcomes under Pillar II, particularly in energy access and renewable energy, were found to fall short of targets. At mid-term, national electricity access was found to have increased only marginally from 71.8% in 2020 to 73.9% in 2023, falling well short of the CSP target of 89% by 2026. The rural electrification rate even declined from 26.2% in 2020 to 25% in 2023, moving further away from the target of 37% by 2026. Progress in renewable energy was also found to be limited, with renewable energy generation reaching only 0.23% of total electricity output, far below the CSP's target of 15% by 2026. The limited gains in electrification are likely due to a weak policy

and regulatory environment, non-cost-reflective electricity tariffs, and high electricity generation costs.

The evaluation assessed the likelihood of the CSP achieving its expected development results by 2026 as uncertain, due to uneven progress across the CSP's strategic pillars and persistent implementation challenges. While the CSP's interventions under Pillar I, notably in fiscal reforms and private sector development, have yielded positive outcomes, sustaining these gains may prove challenging considering projected fiscal gaps and external economic pressures. Pillar II faced delays in meeting infrastructure targets, casting doubt on the feasibility of meeting the ambitious 2026 goals. In addition, cross-cutting priorities such as climate resilience and gender inclusion were found to be lagging. These delays and shortfalls underscore the urgent need for intensified implementation efforts and closer coordination between the Bank and the GoB to address operational bottlenecks. The evaluation noted that without a rapid acceleration in project execution, especially in infrastructure initiatives, the CSP's objectives may not be fully achieved within the remaining timeframe.

Efficiency

Efficiency was not found to have been demonstrated across all sectors. The Bank's portfolio in Botswana experienced an average delay of five months beyond the standard timeline for both project approval to effectiveness and approval to disbursement, although the length of delays differed significantly among individual projects. The evaluation identified as factors contributing to these delays: prolonged procurement processes, delays in awarding contracts for main activities, and slow bidding and evaluation stages. For example, the Zambezi Integrated Agro-Commercial Development Project experienced a six-month delay from approval to effectiveness and first disbursement, with a disbursement ratio of only 6.9% as of June 2024. Similarly, the ERSP Phase II faced eight months delay in both effectiveness and disbursement, while the Botswana Renewable Energy

Support Program had a low disbursement rate of just 12.1% at the CSP mid-term.

The evaluation noted that at mid-term, the CSP achieved approximately 74% resource utilization rate (UA 136.13 million) of the IOP resource envelope of UA 184.71 million. This is partially due to the ERSP II being approved for a substantially higher amount than foreseen in the IOP (UA 135 million vs. UA 95 million). However, the evaluation found that the efficiency in utilizing inputs to achieve planned results varied across projects. While the ERSP and BDC LoC successfully met most of their objectives on schedule, other projects experienced delays due to factors such as prolonged project effectiveness and procurement challenges. For example, the SAYEB project faced delays due to bureaucratic and project coordination challenges.

The evaluation also found that inadequate local project management capacity hindered the efficient implementation of projects across the Bank's portfolio. Projects such as the Zambezi Integrated Agro-Commercial Development Project were affected by the absence of key personnel, including a full-time project accountant and procurement officer, which led to bottlenecks in financial management and procurement processes. Furthermore, a lack of capacity building for local teams to effectively manage AfDB procedures was found to be an important issue. This was particularly the case in projects involving technical assistance. Similarly, the Renewable Energy Support Project faced challenges due to insufficient capacity and a lack of familiarity with AfDB procedures among local teams, leading to poor quality bidding documents and delays in procurement. These issues delayed project activities, leading to multiple extensions, thereby affecting the overall performance and timely completion of these projects.

The evaluation found progress on PPPs to be limited, with coordination challenges hindering project implementation. Although the Bank supported the development of PPP regulations and conducted a capacity needs assessment, no

PPP transactions were completed by mid-2024. Coordination challenges among government ministries impeded progress, raising concerns about the feasibility of meeting the CSP target of three PPP transactions by 2026 without strengthened collaboration between executing agencies.

Cross-cutting Issues

The evaluation found that progress on cross-cutting issues under the CSP was mixed at mid-term. Gender-specific initiatives such as job creation were found to have achieved preliminary successes but were also constrained by limited financing for women-owned enterprises. However, broader gender-focused programs, such as the Technical Assistance to Women Empowered Businesses Project, lacked the necessary financing, limiting their reach and impact. To meet the CSP's goal of supporting 30+ women-led SMEs by 2026, renewed efforts to mobilize resources for gender-specific interventions will be necessary.

The evaluation was unable to assess the progress towards climate-proofing projects at the CSP mid-term due to insufficient evidence. Although 33% of projects were climate-proofed at baseline, the available data do not offer a reliable basis for evaluating progress towards the 100% target set for 2026. Among the four operations approved at CSP mid-term (one PBO and three TAs), none were subject to the same climate-proofing requirements as direct investment projects that generate emissions or face climate risks. The Zambezi Integrated Agro-Commercial Development Project was the only climate-proofed project approved in the Bank's active portfolio at mid-term, with the other operations being non-lending projects, limiting opportunities to apply climate resilience measures in line with the Bank's climate-proofing assessment methodology. In addition, climate finance has been minimal, with only 0.56% of Bank financing in Botswana allocated to climate-related projects, far from the 40% target. Furthermore, while the Bank supported Botswana in developing a Long-Term Low Carbon Climate-

resilient Strategy (LTS), it had not been formalized as a national strategy by mid-term.

The evaluation found that the progress toward achieving the CSP's objectives at mid-term was influenced by both enabling and constraining factors. On the positive side, Botswana's political stability, sound macroeconomic management, and strong governance framework provided a solid foundation for the CSP's implementation. In addition, the Bank's focus on capacity building initiatives by providing technical assistance, such as for PPPs, SME business development, and climate resilience facilitated progress in economic diversification. However, key challenges impeded the CSP's progress at mid-term. These include Botswana's limited appetite to borrow for public investment projects, the economy's heavy reliance on diamond revenues, the absence of a Bank office in Botswana, delays in project implementation, insufficient coordination between executing agencies, capacity gaps in executing agencies, and the limited use of co-financing from DPs.

Conclusion

The MTE of the AfDB's CSP for Botswana (2022–2026) reveals a mixed performance with notable achievements and significant challenges. The CSP aligns well with Botswana's Vision 2036 and National Development Plans, addressing economic diversification and climate resilience. Key projects such as the ERSP and the Support to Economic Diversification Technical Assistance Project have been instrumental in enhancing SME competitiveness and fiscal stability. Internal coherence is strong, with projects building on previous efforts. The Bank's collaboration with the GoB has been crucial, particularly in developing the ERSP phases. However, external coherence is mixed, with some successful partnerships but limited overall coordination.

Positive outcomes of the Bank's support include improved fiscal stability, with the fiscal deficit

decreasing from 8.4% of GDP in 2020/21 to 4.7% by 2023, and growth in private sector investment. However, challenges persist in slow progress in diversifying the real sector's contribution to GDP, and the economy remains heavily reliant on diamond revenues. Infrastructure development targets for national electricity access and renewable energy generation are lagging, with minimal progress in rural electrification and renewable energy output. Project implementation faced delays due to procurement challenges and limited local project management capacity. The CSP achieved a 74% resource utilization rate, but efficiency varied across projects. Finally, progress on gender inclusion and climate resilience was mixed, with significant gaps in mobilizing climate finance.

In conclusion, the MTE found that while the CSP has made notable progress, addressing the identified challenges and enhancing implementation efforts are crucial for achieving the strategy's objectives by 2026.

Lessons

The following key lessons can be drawn from the MTE of Botswana's CSP:

Lesson 1: Anchoring the Bank's IOP priorities and targets on a thorough contextual analysis, which includes the country's prospective borrowing plans for public spending, can enhance the overall performance of the strategy.

Lesson 2: Enhancing fiscal reforms and diversifying revenue sources are crucial pathways to strengthening fiscal resilience.

Lesson 3: Strong project management and procurement capacities are vital for timely project execution.

Lesson 4: Forming strategic partnerships and leveraging co-financing opportunities can

significantly enhance resource mobilization and broaden the impact of development initiatives.

Lesson 5: Sustaining flexibility in the Bank's program design and implementation can strengthen its ability to respond to external shocks, adapt to evolving priorities, and address fiscal and social challenges during crises more effectively.

Lesson 6: Aligning skills development initiatives with market and industry standards and demand ensures that youth acquire the practical skills desired by employers, which is essential for reducing youth unemployment and fostering economic growth.

Recommendations

Based on the MTE's findings, IDEV recommends the following to the Bank:

Recommendation 1: Maintain the Bank's strategic focus in Botswana on building economic resilience and advancing infrastructure development, while refining its operational priorities for the remainder of the CSP to better reflect the evolving context and available resources.

Recommendation 2: Enhance the efficiency of the Bank's CSP operations by improving the coordination

between executing agencies and strengthening local project management capacity.

Recommendation 3: Enhance the integration of cross-cutting priorities within the CSP by specifically intensifying efforts to mainstream gender equality and empower youth during the remaining CSP period.

Priority areas of action to consider include:

- Increasing support for interventions that offer skills training aligned with market demands and industry standards to enhance youth employment; and
- Ensuring continued support for women-led businesses, focusing on high-growth potential sectors to drive economic diversification and inclusion.

Recommendation 4: Enhance strategic partnerships and resource mobilization by collaborating with development partners to maximize the impact of the CSP during its remaining period, particularly in co-financing, knowledge-sharing, and technical support for key infrastructure projects. ■

Management Response

Management welcomes the Independent Development Evaluation Department's Mid-Term Evaluation of the African Development Bank's 2022–2026 Country Strategy Paper (CSP) for Botswana, which was conducted alongside Management's own mid-term review. Management agrees with the Evaluation's conclusions, lessons, and recommendations, many of which align with its findings from the mid-term review. Notably, Management fully supports the need to accelerate portfolio implementation and strengthen the execution capacities of project implementation units to achieve faster development results, particularly in infrastructure. Management also welcomes the Evaluation's confirmation that the CSP's Priority Areas remain well-aligned with both government priorities and the Bank's strategic frameworks, ensuring a consistent approach to addressing Botswana's development challenges. In response to the Evaluation's findings and recommendations, the CSP mid-term review will retain the two Priority Areas for the remainder of the strategy period while enhancing implementation flexibility through deeper engagement with the government to address emerging development needs. The Evaluation's insights have been instrumental in shaping adjustments to CSP implementation, reinforcing the Bank's commitment to delivering impactful and timely development outcomes.

Introduction

The Independent Development Evaluation Department (IDEV) recently completed a mid-term evaluation (the Evaluation) of the African Development Bank Group's (AfDB or "the Bank") 2022–2026 Country Strategy Paper (CSP) for Botswana, covering the first two years of the CSP implementation (January 2022 to June 2024). The Evaluation found the Bank's CSP and interventions to be relevant to Botswana's development needs, with the interventions demonstrating coherence with the national development priorities. Botswana's long-term vision is to attain high-income status, with citizens fully realizing their potential by 2036.

The main objective of the CSP 2022–2026 is to support Botswana's ambition to diversify its economy and accelerate structural transformation for sustainable and inclusive growth, which is aligned with the national vision and new government priorities. The CSP focuses on two Priority Areas:

(i) Building Economic Resilience through Support to Economic Governance and Private Sector Development; and (ii) Infrastructure Development for Improved Competitiveness and Productivity. Overall, Management agrees with the Evaluation's findings, conclusions, and recommendations, with many of them reiterated by the government and other stakeholders during the CSP Mid-Term Review (MTR) mission, which was conducted together with the IDEV Evaluation in June 2024. Preparation of the IDEV Evaluation preceded and informed the MTR of the CSP. This is very timely given the focus of the new government on economic reforms and the need to be flexible during the remainder of the CSP period to support Botswana. Management undertook a joint mission to Botswana from January 27–31, 2025 to discuss the key findings of the CSP 2022–2026 MTR and to appraise the budget support operation. The authorities agreed to retain the main objective and the two Priority Areas of the CSP for the remaining period.

Relevance

Management takes note of the Evaluation finding that the Priority Areas of the CSP 2022–2026 are well-aligned with both government priorities and the Bank's strategic frameworks, ensuring consistency in addressing Botswana's development challenges. The Evaluation found that the Bank's targeted efforts, such as the Support to Economic Diversification Technical Assistance Project, effectively addressed these priorities by enhancing small and medium-sized enterprise (SME) competitiveness and strengthening business support institutions.

The Bank has maintained its strategic focus on the two Priority Areas during the second half of the CSP (2025–2026). Management is in discussion with the government to adjust the Indicative Operational Program (IOP) for the second half of the CSP to make it more realistic, given the country's development needs and resource constraints, in line with the Evaluation's recommendations.

Coherence

The Evaluation found that the Bank's portfolio has strong internal coherence, with synergies among interventions. The Bank's projects are built upon previous interventions, ensuring continuity and synergy in supporting Botswana's economic development. For example, the Technical Assistance Grant to the Botswana Development Corporation and the Support to Economic Diversification in Botswana aimed at enhancing the manufacturing sector, SME competitiveness, and Business Support Institutions, all supporting economic diversification.

Management acknowledges the Evaluation finding that external coherence was strong in specific projects but limited across the broader portfolio and that sectoral-level coordination with other development partners remained limited, reducing project effectiveness in some cases. Management will strengthen collaboration with development partners in all areas, including participating in partner interventions and knowledge sharing.

Effectiveness

Management agrees with the Evaluation finding regarding the low realization of the IOP in the first half of the CSP due to weak government appetite to borrow. This is consistent with the Bank's CSP MTR observation, which led to many projects not being processed, affecting the delivery of programmed results. Management is discussing with the government to ensure that a more realistic IOP is designed for the remainder of the CSP period. The Bank is applying flexibility and is responding positively to the request for UA 231 million budget support received in November 2024. This will account for over 60% of the IOP for 2025–2026. The Bank is also supporting economic reforms, public-private partnerships (PPPs), and feasibility studies for infrastructure development to promote economic diversification. As part of the non-lending program, the Bank will support the National Planning Commission to improve the delivery of the public investment program and to strengthen monitoring and evaluation of public sector investments. Application of the internal monitoring and evaluation system and data gathering will be strengthened to measure portfolio performance and project implementation progress adequately.

Management also takes note that following the elections of October 2024, the new government has prioritized three areas for Botswana's medium-term development: restoring trust; revitalizing the economy; and building equity. This could be achieved through civil service reforms, strengthening institutions, attracting investment, fast-tracking key infrastructure projects, and engaging international partners, which opens room for increased dialogue.

Management will fast-track infrastructure projects through increased dialogue and resolution of emerging issues. The Bank will provide technical support to Botswana's efforts to diversify its economy, including through a study on economic diversification to ensure sustainable economic development. The Bank will support private sector engagement, including through awareness roadshows on the Bank's available instruments to support the private

sector. Management will also fast-track the rollout of the PPPs capacity development program, finalization of the PPP regulations, and drafting of a standalone PPP law to support Botswana's regulatory framework for PPPs and building the capacity of SMEs. The PPP Capacity Strengthening Project benefited from a MIC-TAF grant (UA 100,000) that supported the government to create an enabling environment and build capacity for private sector participation in infrastructure PPPs; the draft PPP guidelines are under review; the PPP capacity needs assessment and training action plan were completed, two PPP Unit staff were certified, and 149 government officials were trained. Technical and advisory services will be strengthened to complement the investment and institutional support operations, including in PPPs, in the sectors supported by the Bank. The Bank will provide capacity building and support feasibility studies for infrastructure development to crowd in the private sector into PPP operations.

Management acknowledges the finding that project quality at entry revealed both strengths and weaknesses, particularly at early-stage preparation and risk management. Management agrees with the Evaluation's suggestion that ensuring robust preparatory work and stakeholder engagement during the design phase of the projects would have improved the quality at entry of the Bank's operations.

Efficiency

Management acknowledges the Evaluation finding that at mid-term, the CSP achieved a 74% resource utilization rate (US\$180.31 million) against the IOP resource envelope of US\$243.9 million. This helped to finance the budget support operation at the request of the government. Management also notes that the Evaluation found that efficiency in utilizing inputs to achieve planned results varied across projects.

Management agrees with the Evaluation finding regarding time lags between project approval, effectiveness, and first disbursement that

undermine the efficiency of project implementation. Management will work with project Task Managers to strengthen project preparation to enhance quality at entry and ensure that disbursement triggers are well articulated and avoid delays.

Management takes note of the Evaluation finding that bureaucratic delays and coordination challenges within the Bank and among government counterparts adversely affect project efficiency, leading to extended timelines and multiple extensions. Management will streamline internal processes and responses to government and executing agency requests. Management will also enhance capacity building sessions through tailored training and fiduciary clinics for project management units and executing agencies to increase familiarity with the Bank's standard procedures to avoid delays in approval. Capacity building sessions will, among others, cover the Bank's Environment and Social (E&S) standards and disbursement requirements, procurement, and contract management.

Cross-cutting issues

Management welcomes the Evaluation's findings that the Bank's CSP in Botswana incorporated cross-cutting issues, including gender, youth, environmental sustainability, and regional integration, during the preparation and design of Bank operations, albeit with varying degrees of performance outcomes.

Management acknowledges the Evaluation's observation regarding the mixed progress in gender inclusion, youth employment, and climate resilience, with gaps in climate-proofing projects and mobilizing climate finance. Management will integrate gender and youth empowerment in the design and implementation of the planned policy-based operation and the investment projects (Botswana Rail [UA 29.5 million], and the Glen Valley Water Treatment Plant [UA 20.5 million]), which are planned for Board consideration in 2025. In addition, the Bank will continue to ensure that data on cross-cutting issues are systematically included

in project design and capacity building interventions. Disaggregated data will be collected to ensure adequate monitoring and evaluation of the cross-cutting themes.

The Bank will continue to mainstream civil society engagement in its operations, including consultations with Civil Society Organizations (CSOs) during project design and preparation. CSOs are actively engaged in the extensive consultative processes for CSP preparation, mid-term reviews, and completion reports.

Lessons learned

Management welcomes the six key lessons drawn by the Evaluation: (i) anchoring the Bank's IOP priorities and targets on a thorough contextual analysis; (ii) enhancing fiscal reforms and diversifying revenue sources to strengthen fiscal resilience; (iii) forming strategic partnerships and leveraging co-financing opportunities to enhance resource mobilization and broaden the impact of development initiatives; (iv) strengthening project management and procurement capacities for timely project execution; (v) enhancing flexibility in the Bank's response to improve its ability to mitigate and respond to shocks more effectively; and (vi) aligning skills development initiatives with market and industry standards and demand to ensure that youth acquire the practical skills desired by employers, reduce youth unemployment and foster economic growth.

Management has drawn additional lessons during the CSP MTR, including the need for flexibility and stronger engagement with the new government. These lessons will inform the Bank's engagement in Botswana during the remainder of the CSP period, including strengthening dialogue with the Ministry of Finance to support key reforms as well as with executing agencies to improve project readiness and quality at entry to address implementation challenges.

Management takes note of the Evaluation finding that operations and country policy are negatively impacted by the absence of a country office in Botswana. Management acknowledges the Evaluation suggestions to enhance the efficiency of the Bank's CSP operations by improving coordination between executing agencies and strengthening local project management capacity. Management is also recruiting a Country Economist to be based in Botswana. Furthermore, Management will organize an internal ecosystem discussion to review Bank support to Botswana and strengthen coordination, including with the government authorities and other development partners. Management is strengthening dialogue with the authorities to organize regular coordination meetings and missions (both physical and virtual) to Botswana for program planning and reviews.

Management will dialogue with the authorities to emphasize the coordination meetings and missions (both physical and virtual) to Botswana for program planning and reviews. To raise awareness of the Bank's diverse Non-Sovereign Operations (NSO) instruments and help build a strong NSO pipeline, the Bank will conduct a business development workshop for the private sector in Botswana in the second half of 2025.

Management takes note of the Evaluation finding that climate change considerations were integrated into the CSP. Management also notes that the implementation and effectiveness of these considerations were limited, with the share of climate-proofed projects decreasing to 25% by 2024 (compared to the baseline of 33%), well below the 100% target set for 2026. Management will work with the relevant authorities in Botswana to support the preparation of funding proposals to develop the Long-Term Low Carbon Climate-resilient Strategy (LTS) with an action plan to implement the long-term vision for climate resilience and low carbon emissions. Within the Bank, Management will engage Task Managers to ensure that all projects meet 100% climate-proof targets.

Conclusion

Management appreciates IDEV's Evaluation of Botswana CSP 2022–2026, the main findings, key observations, and recommendations. The findings and lessons of the Evaluation are valuable and have been incorporated in the implementation of the second half of the CSP, as detailed in the CSP MTR. The findings and lessons of the Evaluation and the MTR will inform the Bank's engagement with the government, development partners, and other

stakeholders as well as contribute to the design of future strategies and programs. Management agrees on the need to accelerate portfolio implementation and strengthen the execution capacities of project implementation units to achieve faster development results, particularly in infrastructure. Responses to the four key recommendations are provided in the Management Action Record Table below. The Management Action Record System will be used to generate monthly flashlight reports for management attention. ■

Management Action Record	
Recommendation	Management Response
Recommendation 1: Maintain the Bank's strategic focus in Botswana on building Economic Resilience and advancing Infrastructure Development, while refining its operational priorities for the rest of the CSP to better reflect the evolving context and available resources.	
	Agreed – Management agrees with this recommendation, which was also confirmed by the government during consultations that were conducted in June 2024 to inform the CSP MTR. Management will implement the following actions: ■ Maintain the two Priority Areas for the second half of the CSP period, based on the feedback from the government and various stakeholders during the CSP MTR mission held in June 2024 and further consultations in January 2025. [RDGS; Q2 2025] ■ Provide policy-level support through budget support to improve governance and enhance the business environment, thereby fostering private sector development. [RDGS; Q3 2025] ■ Fast-track the rollout of the PPP capacity development program and finalize PPP regulations. [RDGS; Q2 2025] ■ The Bank will continue to exercise flexibility in the implementation of the CSP through increased engagement with the government to respond to Botswana's emerging development needs and shocks. This was one of the key operational lessons learned from the first half of the CSP implementation. [RDGS; Q4 2025]
Recommendation 2: Enhance the efficiency of the Bank's CSP operations by improving the coordination between executing agencies and strengthen local project management capacity.	
	Agreed – Management agrees with this recommendation and will implement the following actions: ■ The Bank will strengthen program planning and review missions to Botswana and undertake bi-annual capacity strengthening sessions for executing agencies. [RDGS; Q4 2025] ■ Management will recruit a Country Economist to be based in Botswana to enhance country policy dialogue and follow up on portfolio implementation. [ECCE, RDGS; Q4 2025]

Management Action Record	
Recommendation	Management Response
Recommendation 3: Improve inclusivity within the CSP and intensify efforts to mainstream gender and empower the youth in the remaining CSP period.	
Increase support for interventions that offer skills training aligned with market demands and industry standards to enhance youth employment.	Agreed - The Bank will embed skills development components targeting young men and women in infrastructure projects during the remainder of the CSP period. [RDGS; Q2 2026] - The Bank will conduct a business development workshop for the private sector in Botswana, prioritizing women-led SMEs, to raise awareness of the Bank Group's support to the private sector and help build a strong NSO IOP and job creation. [RDGS; Q4 2025]
Ensuring continued support for women-led businesses, focusing on high-growth potential sectors to drive economic diversification and inclusion.	The Bank will explore additional resources for capacity building for SMEs in Botswana through Trust Funds and special funds, including the Affirmative Finance Action for Women in Africa (AFAWA). [RDGS; Q4 2025]
Recommendation 4: Enhance strategic partnerships and resource mobilization by collaborating with development partners to maximize the CSP's impact during its remaining period, particularly in co-financing, knowledge sharing, and technical support for key infrastructure projects.	
	Agreed Further actions include: - The Bank will actively engage in dialogue with development partners on joint planning, project preparation and information sharing to leverage co-financing and for greater impact. The planned policy-based operation will be leveraged as an entry point to raise awareness among the Government of the availability and benefits of co-financing arrangements through the Bank's existing partnerships, including but not limited to the European Commission, Japan International Cooperation Agency, and the Organisation of Petroleum Exporting Countries Fund who share similar priority sectors. [RDGS/ ECGF; Q2 2025] - The Bank will strengthen engagement with key stakeholders to mobilize additional financing for Botswana's development needs, including providing technical support for the preparation of proposals to access climate funds, Trust Funds and PPPs. [RDGS; Q2 2025]

Note: ECCE = Country Economics Department, ECGF = Economic Governance Department, RDGS = Regional Business Development and Delivery South.



An electrician repairing a fault on a utility pole in Botswana.

Introduction

In the context of the 2024 approved work program of the Independent Development Evaluation (IDEV) function of the African Development Bank Group (AfDB or “the Bank”), IDEV conducted a Mid-Term Evaluation (MTE) of the 2022–2026 Country Strategy Paper (CSP) for Botswana.² This evaluation was carried out in collaboration with the Southern Africa Regional Development and Business Delivery Office (RDGS), in parallel to the Bank Management’s preparation of the CSP Mid-Term Review (MTR). It is intended to assess the progress made during the first half of the implementation of the CSP and to offer strategic recommendations to guide adjustments for the remaining period. The findings of this evaluation will be pivotal in ensuring that the CSP continues to align with Botswana’s evolving development needs and the Bank’s strategic priorities. This Evaluation Summary Report is divided into five sections: (i) this introduction; (ii) Botswana’s development context, which outlines the country’s economic, governance, and social landscape; (iii) the Bank’s strategy and programs in Botswana between 2022 and 2024; (iv) the MTE’s findings; and (v) a conclusion, lessons and recommendations to inform the remaining CSP period.

Objective and Scope

The MTE was undertaken to provide an evidence-based assessment of the Bank’s country strategy and interventions in Botswana to make recommendations for corrective actions that address emerging challenges and enhance performance for the remainder of the CSP period. The evaluation’s specific objectives were to:

1. Assess the relevance of the Bank’s strategy and program in Botswana to national development priorities, beneficiary needs, and the Bank’s overarching goals since the commencement of the CSP 2022–2026.
2. Review the implementation progress, achievement of planned results, and the likelihood of achieving remaining results and outcomes by the end of the CSP period, with a particular focus on the adaptability and resilience of strategies in the context of the COVID-19 pandemic recovery.
3. Draw lessons from implementing projects and programs approved under the CSP 2022–2026.
4. Identify factors that have enabled or hindered the Bank’s performance during the first two and a half years of CSP implementation.
5. Suggest areas for strategic and operational adjustments to ensure the CSP continues to meet Botswana’s evolving development needs.

The evaluation covered all ongoing and completed operations under the CSP, focusing on both lending and non-lending activities. It also examined cross-cutting issues such as gender, youth employment, environmental sustainability, and climate resilience.

Methodology

The MTE employed a theory-based evaluation approach and applied the international evaluation criteria of relevance, coherence, effectiveness, and efficiency to assess the performance of the Bank’s strategy and program. The evaluation was formative, results-oriented, and focused on generating lessons to enhance the remaining period of the CSP, in line with OECD/DAC and ECG evaluation standards. A Theory of Change (ToC) framework, including key assumptions, was constructed to map the pathways and linkages between the Bank’s inputs, activities, outputs, and outcomes, ensuring a structured assessment of its contributions and results. Given

that the CSP has been in place for only two and a half years, the evaluation focused on output-level results and the delivery of program outcomes at mid-term. The methodology was implemented in three main phases: inception, data collection and analysis, and reporting. During the inception phase, a detailed evaluation framework, including an evaluation matrix and the ToC, was developed in consultation with the Evaluation Reference Group (see annexes 1 and 2). The data collection involved a mixed-method approach, combining qualitative and quantitative data. The evaluation team conducted a comprehensive document review, including Project Appraisal Reports (PARs), Implementation Progress Reports (IPRs), Aide-Mémoires, CSP-related documents, official Government of Botswana (GoB) reports and national statistics. These were supplemented by Key Informant Interviews with stakeholders from the Bank, the GoB, development partners (DPs), and project beneficiaries. A field visit was conducted to gather insights from the beneficiaries of one of the two projects that

achieved full disbursement. Data from multiple sources were triangulated to ensure the robustness of the findings. Quantitative data were analyzed to assess project performance against planned targets, while qualitative data provided context and depth to the evaluation. The evaluation team also conducted an in-depth assessment of completed and ongoing projects approved under the previous CSP, offering valuable insights into the continuity and effectiveness of the current strategy. The analysis phase synthesized the data collected and evaluated the extent to which the CSP was likely to achieve its intended outcomes at the end of the CSP in 2026. The evaluation focused on relevance to Botswana's development needs, coherence with national strategies and other DPs' activity, effectiveness in achieving planned results, and efficiency in resource utilization. It also addressed cross-cutting issues. Table 1 provides an overview of the key evaluation questions that guided the MTE. A comprehensive set of detailed evaluation questions and sub-questions is available in the Evaluation Matrix (Annex 2).

Table 1: Evaluation questions

Evaluation Criteria	Evaluation Questions
Relevance	To what extent are the objectives of the Bank's 2022–2026 country strategy and program (including the pipeline) aligned with relevant corporate and sector strategies of the Bank, Botswana's national vision and development frameworks, and the needs and priorities of beneficiaries?
Coherence	To what extent do the Bank's lending and non-lending activities in the CSP (2022–2026) complement the Bank's existing operations? To what extent do the Bank's lending and non-lending activities complement the development interventions of other DPs in Botswana?
Effectiveness	To what extent have the Bank's interventions been effective in achieving the planned results? What are the internal and external factors that have facilitated or impeded achievement of the CSP's objectives, and how has the Bank's strategy adapted to these factors?
Efficiency	How efficiently has the Bank organized and managed its resources to deliver on the CSP?
Cross-Cutting Issues	How well do the Bank's strategy and programs in Botswana incorporate cross-cutting issues, including gender, youth, the environment (including climate change), and regional integration?
Lessons and Recommendations	Which lessons and recommendations can be drawn from the implementation of the CSP in Botswana to better inform the implementation of the remainder of the CSP considering Botswana's upper-middle-income country status?

Source: IDEV Evaluation Team.

Limitations and Mitigation Measures

The MTE encountered delays in conducting a data collection mission to engage with stakeholders in Botswana. To address this, the MTE was conducted concurrently with the Country Portfolio Performance Review (CPPR), ensuring timely stakeholder input. Another challenge was the limited availability of data to evaluate project results, as only one of the

seven operations approved during the CSP period had been completed, with the remaining projects at various stages of implementation. This limitation was mitigated by leveraging stakeholder interviews to assess the likelihood of results materializing from ongoing operations. By aligning the MTE with the CPPR, the evaluation team benefited from direct insights provided by GoB officials actively involved in the portfolio review process. ■



Kenneth Matambo, then Minister of Finance and Economic Development of Botswana, participates in a Special Panel during the 2017 AfDB Annual Meetings in Ahmedabad, India.

Botswana's Development Context

Geographical and Political Context

Botswana's low population density and geographic characteristics emphasize the critical role of infrastructure development in national progress. Botswana is a landlocked country in Southern Africa, bordered by South Africa, Namibia, Zimbabwe, and Zambia—all members of the Southern Africa Development Community. Covering 581,730 square kilometers and with a population of 2.67 million as of 2023, Botswana has one of the lowest population densities in the region, at about five people per square kilometer. The combination of sparse population and expansive geography reflects the importance of infrastructure development, which is essential for connecting communities and supporting economic activities across the country.

Botswana's political stability and strong governance have supported its development and shaped its democratic evolution. Botswana is widely acknowledged for its political stability and robust governance frameworks, which are reflected in its high performance on governance indices. In 2023, the country scored 68.1 on the Ibrahim Index of Governance, significantly higher than the African average of 48.9. This political and institutional stability underpins development initiatives and creates a stable environment for governance. The national elections of October 30, 2024, marked a significant political transition, as the Umbrella for Democratic Change party won a majority in Parliament, ending the Botswana Democratic Party's 58-year rule. This shift highlights Botswana's democratic maturity, sustained by its strong governance systems and institutional frameworks.

Economic and Social Context

Botswana's economic success has been anchored in strong macroeconomic governance and prudent management of diamond revenue, but recent global challenges have slowed growth. Botswana, an upper middle-income country, saw its Gross Domestic Product (GDP) per capita increase from US\$5,863 in 2020 to US\$7,341 in 2024, according to data from the International Monetary Fund (IMF, 2024). While the country's estimated long-term real GDP growth rate is 4%, growth declined from 5.5% in 2022 to 2.7% in 2023 and is projected to fall further to 1% in 2024. This slowdown reflects declining global demand for diamonds, driven by excess supply, reduced luxury consumption, and price competition from synthetic diamonds. Additional external shocks, including the COVID-19 pandemic, international conflicts, and tighter monetary policies in developed economies have exacerbated these challenges. Botswana's rough diamond sales dropped by about 52% in the first nine months of 2024, according to the [Bank of Botswana](#), the central bank. Furthermore, the declining diamond revenues, coupled with volatile Southern African Customs Union receipts and rising recurrent expenditures on wages and subsidies to state-owned enterprises (SOEs), have placed significant pressure on the country's fiscal position.

Botswana's fiscal and economic performance reflects resilience and progress, but external vulnerabilities persist. Public debt remains low at 22% of GDP, well below the statutory ceiling of 40%, indicating a low risk of debt distress. Inflation dropped to 3.1% in April 2024 from an average of 12.2% in 2022, supported by the Bank of Botswana's fiscal restraint. The fiscal deficit improved significantly,

falling from 8.4% of GDP in 2020/21 to 4.7% in 2023. However, external pressures, including declining mineral revenues and rising capital expenditures, are expected to widen the fiscal deficit to 6% of GDP by FY2024, according to IMF projections. Between 2015 and 2023, the contribution of non-diamond sectors to GDP growth averaged 45.6%, reflecting efforts to diversify the economy, while the diamond sector accounted for 44.1%. Data from Statistics Botswana's Q1 2024 show that the top contributors to GDP by economic activity were public administration and defence (17.4%), mining and quarrying (12.5%), wholesale and retail (12.1%), while manufacturing contributed only 5.6%. This demonstrates the continued dominance of the public sector—particularly large SOEs—and mining, while highlighting the challenges of achieving economic diversification through expanded value addition.

The development of Botswana's private sector is crucial for economic diversification and long-term growth. However, many of Botswana's private firms are classified as small and medium enterprises (SMEs) or micro-enterprises, and they contribute only about one-third of the national income. SMEs face key challenges, including limited access to finance and a small domestic market. To enhance private sector competitiveness, the GoB has introduced several reforms, including establishing Special Economic Zones and adopting policies to attract foreign direct investment. Despite these efforts, structural bottlenecks continue to constrain the private sector's growth.

Botswana's social context reveals persistent challenges in poverty, inequality, and labor market inefficiencies, despite its middle-income status. According to the country's [Pilot National Multidimensional Poverty Index \(MPI\) Report](#) (2021), poverty levels have declined, with the poverty headcount ratio falling from 17% in 2019 to 14.5% in 2022, and multidimensional poverty affecting 17.2% of the population in 2021. However, severe multidimensional poverty still impacts 3.5%

of Botswana, while income inequality remains pronounced, as reflected in a high Gini Index³ of 53.3, indicating significant disparities in wealth distribution. While life expectancy at birth improved from 47.2 years in 2000 to 61.2 years in 2021, it remains below the African average of 63.4 years. Female life expectancy (63.2 years) exceeds male life expectancy (59.2 years), while communicable diseases such as the COVID-19 and HIV/AIDS viruses remain the [leading causes of death](#).

Labor market challenges and skills mismatches continue to impede Botswana's progress toward inclusive economic growth. According to the [Quarterly Multi-Topic Survey](#) in Q1 2024, the unemployment rate in Botswana is high at 27.6%, with youth unemployment significantly higher at 38.2%. Some gender disparities persist, with female unemployment slightly higher at 27.9% compared to 27.2% for males. For youth unemployment, 39.3% of young women are unemployed compared to 37.2% of young men. While Botswana has a high literacy rate of 86.5%, surpassing the sub-Saharan African average of 68.5%, 39.8% of the formally employed workforce holds only secondary education. This limits their ability to meet the demands of an upper middle-income and diversified economy.

Botswana's Development Strategies

Botswana's development strategies are guided by Vision 2036, which aims to transform the country into a high-income nation by 2036 through inclusive and sustainable economic growth. Botswana's development priorities are articulated in key national documents, including the Eleventh National Development Plan (NDP 11, 2017–2023) and the Economic Recovery and Transformation Plan (ERTP, 2020/21–2022/23). These documents address the country's structural challenges by outlining a path toward inclusive growth that ensures all Botswana benefit from economic progress. Recognizing that a considerable

portion of the population was excluded from past growth benefits, these strategies emphasize the need for economic inclusivity. The pathways to achieving this include accelerating private sector investment, enhancing productivity and innovation, increasing GDP contributions from non-mining sectors, pursuing an export-led growth strategy, and managing exposure to climate change and other risks such as gender inequality, youth unemployment, and environmental sustainability.

Collectively, these strategic frameworks provide a comprehensive roadmap for Botswana's development and reinforce the importance of a diversified and resilient economic base. By targeting key growth sectors and addressing important socio-economic challenges, Botswana aims to foster a more inclusive, sustainable, and diversified economy.

The alignment between national priorities and the Bank's strategic objectives underscores the potential for synergistic impacts, particularly in enhancing economic governance, private sector development, and inclusive economic participation.

Botswana's borrowing policy prioritizes domestic resource mobilization, with external borrowing utilized sparingly. The GoB prefers to finance public investments through domestically generated funds, resorting to external borrowing only during periods of fiscal shocks or global market downturns. As a result, Botswana's external debt remains below 20% of GDP, considerably under its statutory debt ceiling of 40%. This conservative borrowing approach highlights the need for flexibility in DPs' expectations regarding government borrowing for public spending. ■



Quality check at a diamond polishing tools factory in Botswana.

The Bank's Strategy and Program in Botswana (2022-2026)

The Bank and the GoB have collaborated on two CSPs, with the first covering the period between 2015 and 2019. It was extended to 2021 after an MTR of the CSP confirmed its continued relevance to Botswana's development objectives, to allow the Bank and the GoB to assess the socio-economic impacts of the COVID-19 pandemic and to understand its likely effects on Botswana's development trajectory. This led to the implementation of the Economic Recovery Support Program (ERSP) Phase I, a budget support operation which included measures to mitigate the pandemic's negative impacts and support Botswana's recovery. The second CSP covers the current period (2022–2026) and is structured around two main pillars/priority areas: (i) **Building Economic Resilience through Support to Economic Governance and Private Sector Development**; and (ii) **Infrastructure Development for Improved Competitiveness and Productivity**. These pillars are underpinned by cross-cutting themes, including gender equality, youth employment, environmental sustainability, and climate resilience. Table 2 provides an overview of the CSP's IOP, comprising nine operations for a value of UA 184.71 million, while Annex 3 in the Technical Annex provides more details on the planned operations. The CSP was built on some of the lessons learned from the previous CSP and high-level stakeholder engagement to make the adjustments required to fit Botswana's context and aspirations.

The Bank's Strategic Objectives and Intervention Areas

The CSP is structured around two key pillars designed to address Botswana's development

priorities, with Pillar I focusing on strengthening economic governance and enhancing the private sector's role in driving economic growth. Recognizing the country's dependence on the capital-intensive diamond mining sector, which offers limited employment opportunities, the Bank's strategy underscores the critical need for economic diversification. Consequently, the Bank emphasizes creating an enabling environment for private sector development through regulatory reforms, public-private partnerships (PPPs), and targeted support for SMEs. These interventions aim to improve fiscal performance, public financial management, and Botswana's overall economic resilience, reducing its vulnerability to external shocks, while enhancing its competitiveness.

Pillar II addresses infrastructure development, which is pivotal to boosting Botswana's competitiveness. Despite progress, significant gaps in transport, energy, and water and sanitation continue to hinder economic growth and diversification, as highlighted in the Bank's CSP and CSP MTR CPPR mission. Given the GoB's limited appetite to borrow for public spending, the Bank has prioritized preparatory work, including infrastructure planning and sector diagnostic studies, based on insights from stakeholder interviews. Its support under Pillar II spans rail (e.g., the Trans-Kalahari Railway linking Walvis Bay to Gaborone), roads, airports, water, communication, power, and sewer systems. These investments aim to lower transportation costs, enhance energy security, and integrate Botswana into regional and global value chains, thereby supporting industrialization and trade.

In alignment with these two pillars, the CSP outlines specific intervention areas. Under Pillar I, the Bank supports policy reforms to enhance public

Table 2: Indicative Operational Program (IOP) for Botswana's CSP 2022–2026

SN	Year	Operation	Priority Area/Pillar	Sector	Cost (UA million)
Lending activities					
1	2022	Economic Recovery Support Program (ERSP) Phase II	Economic Governance and Private Sector Development	Multisector (SO)	95.00
2	2022	Glen Valley Wastewater Reclamation Project	Infrastructure Development	Water (NSO)	20.98
3	2022	2*50MW Solar Photovoltaic (PV) Independent Power Plant (IPP)	Infrastructure Development	Energy (NSO)	35.00
4	2023	Botswana Transport Support Program a. Preparatory work for physical infrastructure b. Aerotropolis Development (Development of Aerodrome Link Road and Sir Seretse Khama International Airport [SSKIA]) Special Economic Zone c. Project Preparatory Activities (a techno-economic studies for a rail and road project and a sector diagnostic study)	Infrastructure Development	Transport (SO)	30.90
Sub-total					181.88
Non-lending activities					
1	2022	PPP Capacity Strengthening Project	Economic Governance and Private Sector Development	Multisector (SO)	0.68
2	2022	Botswana Renewable Energy IPP Procurement Program	Economic governance and Private Sector Development	Energy (SO)	1.19
3	2023	The Capacity Building for the Botswana Stock Exchange Project	Economic Governance and Private Sector Development	Multisector (SO)	0.85
4	2022	Support Botswana to develop a Long-Term Low Carbon Climate-resilient Strategy (LTS)	Economic Governance and Private Sector Development	Energy (SO)	0.01
5	2023	Technical assistance to women-led businesses	Economic Governance and Private Sector Development	Multisector (SO)	0.10
Sub-total					2.83
Total					184.71

sector efficiency and create a conducive environment for private investment. This includes fostering SME growth and supporting value added economic activities. In Pillar II, the focus is on expanding the generation, transmission, and distribution of clean energy to align with Botswana's goal of increasing reliance on renewable energy, reducing its carbon footprint, and enhancing energy security. The Bank also prioritizes

developing multimodal transport systems to facilitate regional trade and reduce logistics costs. In the water sector, interventions aim to rehabilitate and expand water supply and sanitation infrastructure to support industrial and agricultural development. Collectively, these efforts aim to drive productivity, competitiveness, and sustainable growth in Botswana.

Portfolio Overview

As of June 2024, the Bank's active portfolio in Botswana comprised eight projects, with a total commitment of about UA 198.42 million

(Table 3).⁴ Four of these were approved under the previous CSP, and four under the current CSP. The Bank's portfolio is concentrated in a few sectors that reflect the strategic priorities outlined in the two CSPs. The largest share of the portfolio is allocated

Table 3: AfDB's active portfolio in Botswana as of 30 June 2024

Operation/ Project	Cost (UA)	Approval Date	% of Total Volume	Disbursement Ratio (%)	Financing Window	Financing Instrument	Type of Operation	Sector
Botswana Support to Economic Diversification Technical Assistance - Grant	751,202	6/29/2018	0.4%	74.30%	MIC TAF-Grant	Non-Lending/ NSO	Technical Assistance	Multisector
Botswana Development Corporation Line of Credit	60,096,152	4/24/2019	30.3%	100%	ADF/FAPA	Lending/ NSO	Line of Credit	Finance
Botswana Renewable Energy Support Program	760,000	12/16/2021	0.4%	12.11%	Sustainable Energy Fund for Africa (SEFA)	Non-Lending/SO	Technical Assistance	Energy
Zambezi Integrated Agro-Commercial Development Project	1,000,000	1/25/2021	0.5%	6.91%	ADB	Lending/SO	Investment Project	Agriculture
Scaling-up and Accelerating Youth Employment in Botswana (SAYEB)	316,901	05/04/2022	0.0%	98.90%	Youth Entrepreneurship and Innovation Multi-Donor Trust Fund (YEI MDTF) Grant	Non-lending	Technical Assistance	Multisector
Economic Recovery Support Program (ERSP) Phase II	135,710,000	11/30/2022	68.4%	100%	ADB	Lending/SO	Program-Based Operation	Multisector
PPP Capacity Strengthening	100,000	7/8/2022	0.1%	27.60%	MIC TAF-Grant	Non-Lending/SO	Technical Assistance	Multisector
Support Botswana to Develop a Long-Term Low Carbon, Climate-resilient Strategy (LTS)	10,000	07/18/2022	0.0%	100%	The Africa Climate Change Fund (ACCF)	Non-lending/SO	Technical Assistance	Energy
	198,427,671		100.0%	64.9%				

Note: Of the four projects that were approved in the previous CSP, two became effective in the current 2022-2026 CSP period.

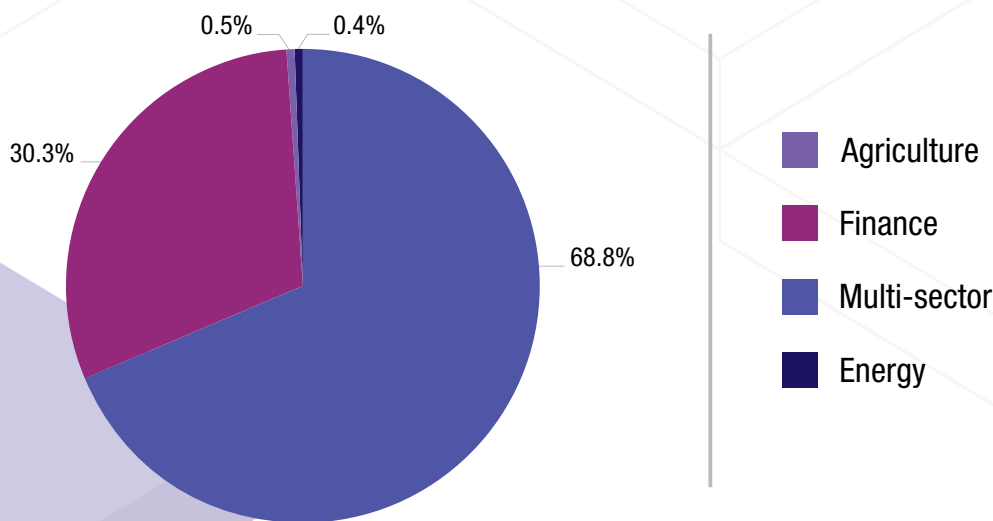
Source: IDEV Evaluation Team based on portfolio data from SAP.

to **multisector** projects (budget support and SAYEB), which account for 68.8% of the total portfolio value (UA 138.88 million). These projects, such as the ERSP Phase II, are crucial in supporting post-pandemic economic recovery through structural reforms and enhanced governance. The **finance** sector represents 30.3% of the portfolio (UA 60.10 million), primarily through the **Botswana Development Corporation (BDC) Line of Credit (LoC)**, which aims to provide financial support to SMEs to stimulate private sector growth. Other sectors covered in the portfolio include agriculture (0.5% or UA 1 million), with projects such as the **Zambezi Integrated Agro-Commercial Development Project**, which focuses on agricultural development to support economic diversification. The **energy** sector, while representing a smaller portion of the portfolio (0.4% or UA 0.77 million), is supported by the **Botswana Renewable Energy Support Program** and the support to develop a **Long-Term Low Carbon and Climate-resilient Strategy (LTS)**, that aim to support the generation of clean energy and aligns with the country's climate resilience objectives (Figure 1).

The Bank's portfolio in Botswana includes a mix of lending and non-lending operations, highlighting its strategic approach to addressing the country's development needs through diverse instruments. Four of the seven operations are technical assistance projects, one Program-Based Operation (PBO), one LoC, and one investment loan. Five are Sovereign Operations (SOs) and two are Non-Sovereign Operations (NSOs). Non-lending projects, such as the PPP Capacity Strengthening and the Botswana Support to Economic Diversification Technical Assistance, played a crucial role in providing capacity development, further supporting the Bank's efforts to support sustainable development in Botswana.

The Bank's portfolio's average disbursement ratio stands at 64.9%, with some projects, such as the ERSP Phase II and the BDC LoC, fully disbursed. However, projects such as the Zambezi Integrated Agro-Commercial Development Project have encountered implementation challenges that have resulted in a low disbursement rate of only 6.91%.

Figure 1: Distribution of the Bank's active portfolio by sector



Source: IDEV Evaluation Team based on portfolio data from SAP.

The CPPR conducted in June 2024 shows that at mid-term, three of the nine operations foreseen in the 2022-2026 CSP's IOP (Table 2) have been approved, and two of the three have fully disbursed (Table 3, bottom three rows). The ERSP II was approved for a much larger amount than foreseen in the IOP—UA 135 million compared to UA 95 million. Of the total planned resources UA 184.71 million) in the 2022–2026 IOP, UA 136.13 million (approximately 74%) has been approved and disbursed.

Resource Mobilization and Partnerships

In addition to its own financial instruments, the Bank mobilized additional resources through strategic partnerships with other DPs through the co-financing of ERSP Phases I and II. Specifically, US\$600 million was mobilized from the World Bank (US\$250 million for Phase I and US\$150 million for Phase II), the Japan International Cooperation Agency (JICA) (US\$100 million for Phase II), and the Organization of the Petroleum Exporting Countries (OPEC) Fund (US\$100 million Phase II). While the Bank pursues co-financing opportunities to leverage additional funding and technical expertise in support of the CSP's objectives, the ERSP was the only co-financed project in the portfolio. The Bank's resource mobilization approach also includes fostering PPPs to finance and implement major infrastructure projects, particularly in sectors where the private sector can play

a key role, such as renewable energy and transport. The use of PPPs is intended not only to secure the necessary funding but also to introduce private sector efficiency and innovation, both crucial for the success of these projects. However, the PPP model in Botswana is still in its early days and is largely untested. Cost recovery in transport, energy and water supply may be hindered by legacy issues such as below-market utility tariffs.

Expected Results

The CSP is expected to deliver the development outcomes presented in the Performance Matrix of the Strategy's Results Measurement Framework.

Under the economic governance and private sector development pillar, the expected outcomes include improved fiscal efficiency, a more enabling business environment for private sector growth, and enhanced capacity for SMEs to contribute to economic diversification. In the infrastructure pillar, the expected outcomes include lower transport and logistics costs, increased energy security through the expansion of renewable energy sources, and improved access to clean water and sanitation services. Collectively, these outcomes are designed to contribute to Botswana's broader goals of economic diversification, job creation, and sustainable development. By addressing the key constraints to growth and building on the country's strengths, the CSP aims to support Botswana in its transition to become a high-income country by 2036. ■



View of the Central Business District (CBD) in Gaborone, Botswana, taken on February 11, 2024.

Findings

This section presents the evaluation findings on the Bank's CSP (2022–2026) for Botswana, focusing on its relevance, coherence, effectiveness, efficiency, and the integration of cross-cutting issues. The analysis encompasses the CSP, its IOP, and the active portfolio, including projects approved in the previous CSP period. Notably, half of the projects approved in the previous CSP (two out of four) became effective in 2022, while another project, effective since 2018, is still ongoing with 70% implementation progress rate at mid-term. This alignment of implementation timelines with the current CSP period highlights their importance to its objectives and justifies their inclusion in the evaluation findings.

Relevance

This section assesses how well the Bank's CSP (2022–2026) in Botswana aligns with the relevant corporate and sector strategies, and how relevant it is to Botswana's development priorities, national vision and development strategy, including the quality of the CSP design.

Alignment of the Bank's assistance with Botswana's development strategies

The evaluation found that the Bank's support is well-aligned with Botswana's national development objectives, particularly in addressing areas such as economic diversification, fiscal stability, and climate change resilience. Evidence from the document review and stakeholder interviews shows that the Bank's strategic interventions are closely linked to Botswana's main development outcome of achieving a diversified private sector-led export economy set out in Botswana's Vision 2036, the current National Development Plan 11 (NDP 11, 2017–2023), the

Transitional National Development Plan (TNDP, 2023–2025), and the National Transformation Strategy (NTS, 2023–2030). In particular, the Bank's CSP is aligned with the six focus areas of the NDP 11, namely: (i) developing diversified sources of economic growth; (ii) human capital development; (iii) social development; (iv) sustainable use of natural resources; (v) consolidation of good governance and strengthening of national security; and (vi) implementation of an effective monitoring and evaluation. Together, these strategies emphasize the need to reduce Botswana's dependence on the diamond sector, ensure sustainable economic development, and promote private sector participation in economic activities.

The evaluation found that the Bank's targeted efforts, such as the Support to Economic Diversification Technical Assistance Project, effectively addressed these priorities by aiming to enhance SME competitiveness and strengthen business support institutions. In addition, the ERSP was instrumental in bolstering Botswana's fiscal stability during the challenging post-pandemic period, directly contributing to the country's broader economic recovery goals. The Bank's proactive approach to climate change resilience also aligned with Botswana's environmental sustainability goals, as demonstrated by the Zambezi Integrated Agro-Commercial Development Project, which focuses on improving environmental management practices and supporting climate adaptation. Furthermore, the Bank integrated cross-cutting issues—including gender, youth, capacity building, and regional integration—into its programs, aligning with the broader strategic goals of Botswana. This approach ensured that these critical issues were mainstreamed within the country's development agenda, reinforcing the objectives of Vision 2036 and the NDP 11.

The evaluation found that stakeholder consultations enhanced the relevance of the CSP 2022–2026. These consultations involved stakeholders, including government ministries, private sector entities, and civil society organizations (CSOs), ensuring close alignment with Botswana's national priorities. Likewise, the PPP Capacity Strengthening Project, approved under the current CSP, was designed in response to gaps identified in Botswana's PPP regulatory framework. Stakeholders highlighted the need for a comprehensive legal and institutional environment to attract private investment in public infrastructure, which was effectively incorporated into the project's objectives. This alignment ensured that the Bank's interventions were not only relevant but also responsive to the country's evolving needs. Furthermore, stakeholder input was pivotal in shaping new initiatives such as the Scaling-up and Accelerating Youth Employment in Botswana (SAYEB) project. Addressing the critical issue of high youth unemployment, the SAYEB project was developed to foster a conducive environment for youth entrepreneurship, directly targeting Botswana's urgent need for job creation. These efforts ensured that the Bank's interventions remained focused on the most pressing areas of national development, reflecting the priorities and concerns of diverse stakeholders.

Alignment of the CSP with the Bank's priorities

The evaluation found that the priority areas of the CSP 2022–2026 were well-aligned with both the Bank's past and new strategic frameworks, ensuring consistency in addressing Botswana's development challenges. By design, the Bank's CSP for Botswana aligns with the Ten-Year Strategy (TYS, 2013–2022) and the High 5 priority areas of the Bank. The Bank's YYS (2013–2022) emphasizes inclusive growth, poverty reduction, and job creation—objectives that are reflected in the CSP's focus on economic diversification, SME development, and employment generation. Projects such as the BDC LoC and the ERSP Phase II were pivotal in advancing these goals by enhancing the competitiveness of SMEs and stabilizing the economy during periods of external shocks.

The evaluation also noted that the CSP's emphasis on sustainable growth, including energy, aligns fully with both the YYS 2013–2022 and the YYS 2024–2033. The latter strategy underscores the importance of accelerating inclusive green growth and driving resilient economies across Africa. The Botswana Renewable Energy Support Program and the Zambezi Integrated Agro-Commercial Development Project exemplify this alignment by focusing on sustainable energy development and climate-resilient agricultural practices. The project to develop a Long-Term Low Carbon Climate-resilient Strategy (LTS) further reflects the Bank's commitment to environmental sustainability.

Furthermore, the CSP's focus on promoting a diversified economy with strong private sector participation is consistent with the objectives of the Bank's Feed Africa strategy and the new YYS 2024–2033, which prioritizes industrialization and private sector development as engines of economic growth. The PPP Capacity Strengthening Project and the Support to Economic Diversification Technical Assistance Project reflect this alignment by enhancing the regulatory framework for PPPs and building the capacity of SMEs. In addition, the SAYEB project plays an important role in fostering youth entrepreneurship, which is essential to support innovation and economic diversification.

However, the evaluation found that the Bank's efforts to support regional integration through Botswana's CSP lack focus and alignment with broader regional goals. While the CSP acknowledges the importance of regional integration (one of the High 5s under both the previous and the current YYS), specific projects that directly contribute to regional connectivity and collaboration were not highlighted as major components of the country program.

Assessment of the CSP design and quality at entry of operations

The CSP 2022–2026 was found to be well-designed, with clear strategic objectives and performance indicators. It included an IOP detailing lending and non-lending operations for the

period 2022–2026, along with a results framework and a comprehensive monitoring and evaluation plan to track implementation progress. The CSP's design quality was deemed sound as it reflected priorities such as private sector development, infrastructure enhancement, and enhanced economic governance and job creation. These priorities are particularly vital due to Botswana's reliance on diamond revenues and its continuous efforts to diversify its economy, including persistent challenges with youth unemployment.

The evaluation found that gaps in the CSP's design, including insufficient focus on regional integration, stakeholder coordination, and capacity building, undermined its alignment with regional goals and delayed key projects.

Although the CSP acknowledged the importance of regional integration, specific projects that directly contribute to regional connectivity and collaboration were not highlighted as major components of the strategy. In addition, projects such as the ERSP Phase II, despite being well-aligned with objectives to address capacity challenges in key areas such as the institutional capacity for PPPs, faced delays between project approval and effectiveness. Likewise, the Zambezi Integrated Agro-Commercial Development Project faced delays from Project Implementation Units' (PIUs) limited familiarity with the Bank's procurement processes, shortcomings in the feasibility studies, and insufficient integration of stakeholder perspectives during stakeholder engagement at project inception, revealing gaps in assessing operational risks.

The evaluation found that the Bank's IOP was ambitious, given Botswana's limited appetite for external borrowing, which prioritizes domestic resource mobilization over debt-financed public spending. At mid-term, only one of four planned lending operations and two of five planned non-lending operations were approved, reflecting the disconnect between the IOP's scope and Botswana's conservative borrowing approach. With an external debt-to-GDP ratio below 20% and a debt ceiling capped at 40% of GDP, Botswana reserves external

borrowing for periods of fiscal shock or market downturns, making borrowing requirements difficult to predict. This cautious approach highlights the importance of designing the IOP with realistic targets aligned to Botswana's fiscal strategy, ensuring flexibility and better alignment with the country's public spending priorities to enhance the CSP's overall relevance.

The assessment of quality at entry of project interventions revealed both strengths and weaknesses, particularly in early-stage preparation and risk management.

While projects such as the PPP Capacity Strengthening Project were found to be well-designed, with objectives aimed at building institutional capacity for PPPs, delays in implementation occurred due to challenges in stakeholder coordination and institutional readiness. These delays suggest that more robust preparatory work and stakeholder engagement during the design phase of the projects could have improved the quality at entry of the Bank's operations. In addition, the Zambezi Integrated Agro-Commercial Development Project faced major delays owing to insufficient feasibility studies and insufficient integration of stakeholder perspectives during stakeholder engagement at project inception, highlighting gaps in assessing operational risks and environmental complexities. Meanwhile, the ERSP was a successful example of a high quality, well-designed, and timely intervention, that effectively addressed Botswana's urgent fiscal needs in response to the COVID-19 pandemic.

Coherence

This section assesses the internal and external coherence of the Bank's portfolio in Botswana. It evaluates whether the projects within the portfolio are mutually reinforcing and collectively form a cohesive whole. Additionally, it examines the extent of synergies, complementarities, integration, and coordination between the Bank's CSP and the interventions of other DPs.

The evaluation found that the Bank's portfolio in Botswana exhibited strong internal coherence, and fostered synergies among interventions. The Bank's projects built upon previous interventions, ensuring continuity and synergy in supporting Botswana's economic development. For example, the Technical Assistance Grant to the BDC and the Support to Economic Diversification in Botswana aimed at enhancing the manufacturing sector, SME competitiveness and business support institutions, all supporting economic diversification. The portfolio also demonstrated coherence by forming a mutually reinforcing set of operations. Interventions within the CSP, such as the Technical Assistance Grant to the BDC and the Support to Economic Diversification in Botswana, worked collectively to enhance the manufacturing sector, SME competitiveness, and the capacity of business support institutions. These initiatives laid the foundation for the BDC LoC, which further advanced SME competitiveness and economic diversification. The evaluation also found that earlier projects, such as the Support to Economic Diversification in Botswana, strengthened the portfolio's strategic orientation by supporting the 2024 update of Botswana's Private Sector Development Strategy and Private Sector Development Plan. These efforts facilitated improvements in business linkages, particularly within SMEs and sectors such as tourism, and horticulture. It not only provided critical funding to SMEs but also equipped them with skills and knowledge, directly contributing to Botswana's broader national development objectives.

The evaluation identified strong coherence between ERSP Phase I and Phase II, as well as between the initial and subsequent CSPs for Botswana. The Bank's collaboration with the GoB was instrumental in developing both phases of the ERSP, which maintained consistent objectives and strategic focus areas. This continuity was particularly evident in the Bank's response to the socio-economic challenges posed by the COVID-19 pandemic. The decision to extend the first CSP allowed the Bank and the GoB to better understand the pandemic's impact on Botswana's development agenda and to

support the design of Botswana's post-COVID-19 ERTF 2020–2023. This plan provided important insights into mitigating the pandemic's adverse effects, enabling the country to quickly recover, and outlining measures to enhance economic resilience. The subsequent CSP built upon these foundational efforts, ensuring that strategic objectives were maintained and that focus areas continued to align with Botswana's evolving needs.

The evaluation found that external coherence was strong in specific projects but limited across the Bank's broader portfolio. While the Bank's operations demonstrated effective collaboration with DPs in supporting macroeconomic stabilization, such coordination was not consistently applied across all sectors. An example of strong external coherence is the ERSP, where co-financing with multiple international partners—the World Bank, JICA, and the OPEC Fund—considerably bolstered Botswana's economic recovery efforts during the pandemic. The AfDB contributed US\$316.66 million (UA 238.27 million) to the ERSP (in two phases), alongside contributions from these other donors, demonstrating how co-financing can extend the reach and effectiveness of the Bank's interventions. This success indicates potential for the broader application of such partnerships in sectors such as infrastructure development, where mobilizing resources from additional DPs could improve the likelihood that large-scale projects would be financed.

Despite these successes, the evaluation found that sectoral-level coordination with other DPs remained limited, reducing project effectiveness in some cases. The evaluation found that, while the AfDB made efforts to collaborate with other donors, challenges in collaboration persisted, particularly at the operational level. As an example, stakeholder interviews revealed that the AfDB and United Nations Development Program developed separate electronic platforms for agricultural data collection without formal collaboration, leading to duplicated efforts and inefficiencies. The absence of systematic coordination in technical assistance and analytical

work diminished the overall effectiveness of some interventions. This highlights gaps in sectoral coordination, where better alignment could have prevented overlaps and optimized resource use.

The evaluation noted that other projects within the portfolio were financed without external co-financing. Projects such as the Zambezi Integrated Agro-Commercial Development Project and the Botswana Renewable Energy Support Programme, were solely financed through various Bank instruments without external co-financing. Furthermore, the co-financing performance in Botswana's portfolio is mixed, with the ERSP standing out as a successful example of collaborative financing relative to other projects in the Bank's portfolio. While these projects align with Botswana's development priorities and have made major progress in terms of implementation status, the limited leveraging of additional financial and non-financial resources from DPs suggests missed opportunities for broader international collaboration and resource mobilization. Reliance on Bank-only financing limits the scale and scope of some interventions, reducing the potential for synergistic impacts that often arise from multi-donor partnerships.

Effectiveness

This section evaluates the performance of the Bank's portfolio in Botswana and its progress toward the development goals set out in the CSP (2022–2026). The analysis covers both the completed and ongoing projects under Pillar I, which focuses on economic governance and private sector development, and Pillar II, aimed at infrastructure development to boost competitiveness and productivity. Special emphasis is placed on assessing the extent of the achievement of mid-term results (outputs and outcomes) against CSP targets, including contributions to fiscal stability, infrastructure development, and cross-cutting priorities such as climate resilience, gender equality, and youth employment. Annex 3 provides a detailed comparison of mid-term achievements against the targets, highlighting the Bank's role in advancing

Botswana's development objectives. Annex 1 of the Technical Annexes provides detailed project-level findings across key thematic areas of the portfolio.

Progress toward achieving development outcomes in CSP Pillar I

The evaluation indicated that the expansion of domestic capital markets has exceeded expectations, driven by strong investor confidence and market recovery. Domestic companies' stock market capitalization increased from BWP 35.6 billion in 2020 to BWP 48.3 billion by February 2024, surpassing the CSP target of BWP 40 billion. This growth reflects a strong recovery in the domestic market, largely driven by the restoration of favorable economic conditions post-pandemic and increased private sector activity. Gains in leading firms, such as Chobe Holdings and Standard Chartered Bank, which saw share price increases, contributed to this upward trend. The resilience of the stock market and sustained investor confidence suggest that the CSP's capital market development goals are on track to be achieved by 2026. However, liquidity risks persist due to the high proportion of pension assets still held in offshore investments.

The evaluation found that progress in Botswana's fiscal stability has been considerable but still vulnerable to external risks. The fiscal deficit declined from 8.4% of GDP in 2020/21 to 4.7% by 2023, exceeding the CSP target of 4.8% by 2021/22. The Bank's support through the ERSP has contributed to progress in fiscal reforms and macroeconomic stabilization efforts. However, fiscal consolidation is being threatened by external pressures, particularly the projected decline in mineral revenues and rising capital expenditures. Consequently, Botswana's fiscal deficit is projected to widen to 6% of GDP by the end of FY2024.

The evaluation noted that the real sector's contribution to GDP remains below expectations, reflecting ongoing challenges in economic diversification. Data from Statistics Botswana's Q1 2024 show that the top contributors to GDP by

economic activity were public administration and defence (17.4%) and mining and quarrying (12.5%), while manufacturing contributed only 5.6%. Although the contribution of the mining sector to GDP has declined from 13.3% in Q1 2022, it remains a dominant contributor to Botswana's economy. This highlights the difficulties in diversifying the economy and increasing the contribution of the (non-mining) real sector to overall GDP.

The evaluation found that private sector investment has grown but faces challenges in sustaining momentum. Private gross fixed capital formation rose from 19.5% of GDP in 2020 to 23.2% in 2023, halfway to the CSP's target of 27.4% by 2026. This improvement reflects increased private sector confidence, bolstered by the Bank's interventions to promote macroeconomic stability through the ERSP, including the support for economic diversification and the BDC LoC that provided SMEs with business development training and long-term concessional financing. However, impediments to doing business and macroeconomic fragility pose challenges to sustaining this growth according to evidence from both stakeholder interviews and document reviews. Projections from IMF's 2024 Article IV Consultation in Botswana indicate that private sector investment may fall slightly short of the 27.4% (2023) target, potentially reaching only 26.9% of GDP by 2024.

The evaluation found that, despite progress in enhancing social protection schemes, operational challenges remain. The Single Social Registry (SSR) under ERSP II made progress, with 98% of beneficiaries uploaded by 2023, far exceeding the CSP target of 75.8%. This milestone demonstrates the Bank's contribution in supporting Botswana's efforts to enhance the targeting of social protection support through the co-financing of the ERSP with other DPs. A combination of evidence from the ERSP's project documents and stakeholder interviews during the CPPR shows that the technical issues have delayed the system's ability to go live, limiting its capacity to deliver real-time social benefits.

The evaluation found that the progress in PPPs has been slow, reflecting coordination challenges between government ministries.

Despite the development of PPP regulations and guidelines, as well as the completion of a capacity needs assessment, no PPP transactions had been completed by mid-2024. The CSP's target of completing three PPP transactions by 2026 appears ambitious unless stronger coordination between executing agencies is established.

The evaluation found that progress has been made in promoting women-led enterprises, one of the key outputs under the CSP.

The Bank's support through the BDC LoC exceeded expectations, creating 2,571 jobs for women relative to the target of 1,500 jobs⁵ by mid-2024. This achievement reflects strong progress toward gender equality and economic empowerment objectives under the CSP. However, broader gender-focused initiatives, such as the Technical Assistance to Women Empowered Businesses Project, have faced funding challenges, limiting the scale and impact of the Bank's gender-inclusive interventions. In addition, capacity building for the BDC is underway, with training completed in areas important to supporting women-led enterprises, such as credit risk analysis and investment monitoring. Achieving the CSP's target of supporting 30+ women-led SMEs by 2026 will require continued focus on mobilizing resources and expanding capacity building initiatives in the second half of the CSP.

The evaluation found that slow progress in advancing important legislative reforms under Pillar I has hindered the achievement of outputs.

Legislation such as the Income Tax and Value Added Tax Amendment Bills, and the Tax Administration Bill were yet to be approved by mid-term. Progress on these bills is crucial to streamlining tax administration and improving revenue collection. According to the PBO Draft Project Completion Report (PCR), these legislative reforms are on track to be submitted to Parliament in late 2024, positioning Botswana to meet its fiscal sustainability goals. However, any further delays in the legislative process could hinder

the timely achievement of these reforms, essential to the enhancement of public finance management. Stakeholder interviews revealed that the Bank's technical assistance has been instrumental in supporting these reforms, but sustained efforts are required to ensure that they are enacted by the end of the CSP period. Failure to approve these bills could delay broader fiscal stability goals beyond 2026.

The evaluation noted that, despite efforts to strengthen PPPs through the development of regulations and capacity building programs, progress in finalizing and adapting these regulations has been slow. By mid-term, PPP regulations and guidelines had not been finalized, and the PPP capacity development program had not yet been rolled out. The drafting of a standalone PPP law is underway and is expected to be passed by Parliament by the end of 2024. However, delays in the PPP framework, highlighted by the PPP Capacity Strengthening Project Implementation Progress Report (IPR), indicate that the CSP's target of completing three PPP transactions by 2026 may be at risk unless there is accelerated action by the GoB to approve the framework and improve the regulatory environment with the support of the Bank.

The evaluation found that the progress on sector-specific reforms, particularly in agriculture and the meat industry, has been slower than anticipated, with some milestones still pending at mid-term. The National Policy on Agriculture Development remains under review and, although it aims to address critical challenges in the sector, including climate-smart agricultural practices, its approval has been delayed. This poses a risk to the achievement of agriculture sector reforms by the CSP's end in 2026. Similarly, the establishment of the Botswana Meat Industry Regulatory Authority, which was expected in 2022/23, was only finalized in 2024. While this is a step toward liberalizing Botswana's livestock sector, the delayed implementation has limited the impact on export competitiveness and broader agricultural reforms. Continued Bank support will be important to ensure the full operationalization of these reforms within the CSP timeline. The document review and

stakeholder interviews revealed that the BDC project, initiated in 2019, made an important contribution to economic diversification. By providing US\$80 million in long-term financing to 14 sub-projects within the BDC, the Bank facilitated significant investments in transformative sectors such as technology, manufacturing, and SMEs. This support directly contributed to the creation of 6,768 jobs, with a strong focus on inclusivity—38% of these jobs were occupied by women and 17% by youth. In addition, the ERSP played a vital role in reinforcing these efforts by helping to stabilize the macro-economy during the immediate post-pandemic period, ensuring that the fiscal environment remained conducive to continued investment in these critical sectors.

The evaluation found that the Bank's flexibility in project design and implementation was instrumental in addressing external shocks and emerging challenges during the COVID-19 pandemic. The ERSP II exemplified this adaptability, with the Bank approving UA 135 million for the operation, significantly exceeding the UA 95 million initially planned in the IOP, to address Botswana's fiscal challenges. Additionally, the approval of the SAYEB project, which was not originally programmed in the IOP, demonstrated the Bank's responsiveness to emerging priorities such as youth unemployment. While these efforts highlight the Bank's capacity to adapt to urgent needs, the evaluation also noted that sustained progress will require long-term stabilization measures, particularly as external pressures, such as declining mineral revenues, continue to pose risks.

Progress toward achieving development outcomes in CSP Pillar II

Infrastructure-related outcomes under Pillar II, particularly in energy access and renewable energy, were found to lag behind targets. At mid-term, national electricity access increased only marginally from 71.8% in 2020 to 73.9% in 2023, falling well short of the CSP target of 89% by 2026. The rural electrification rate even declined from 26.2% in 2020 to 25% in 2023, moving further away from the target of 37% by 2026. Progress in renewable energy was also found limited, with

renewable energy generation reaching only 0.23% of total electricity output, far below the CSP's target of 15% by 2026. The limited gains in electrification are likely due to a weak policy and regulatory environment, non-cost reflective electricity tariffs, and high generation costs.

The evaluation found that progress in delivering infrastructure outputs remains considerably behind schedule, despite advancements in the Bank's analytical work and regulatory frameworks for renewable energy. The CSP set an ambitious target of generating 675 MW of renewable power by 2026, but by mid-term, only 6 MW had been generated. While physical progress in renewable energy development has been limited, the Bank has made strides in developing the regulatory and policy frameworks needed to support future growth in this sector. Through the Renewable Energy Support Project, the Bank has delivered important studies and frameworks, including grid codes, cost-of-service studies, and licensing frameworks. These regulatory tools are designed to inform the Integrated Resource Plan for electricity and provide a strong foundation for Botswana's transition to renewable energy. However, as of mid-term, these frameworks had not yet been adopted by the GoB, and without their formal adoption and the implementation of major infrastructure projects, the CSP's renewable energy generation targets for 2026 are unlikely to be achieved.

The evaluation noted that power transmission infrastructure and water and sanitation targets have also seen no measurable progress at mid-term, raising concerns about the Bank's ability to meet its 2026 goals. The CSP aimed to construct 3,269 km of power transmission lines by 2026, but no Bank-financed projects were initiated by mid-term. While the Bank has made notable progress in preparing for future investments, with analytical groundwork completed under the Renewable Energy Support Project, the absence of major transmission projects reflects delays in actual project execution. These delays suggest that without accelerated efforts in the next CSP phase, achieving the power transmission infrastructure

targets by 2026 is unlikely. Similarly, the evaluation found that there has been no progress in water and waste recycling infrastructure, leaving an important gap in the CSP's environmental resilience goals. The target to increase water recycling capacity from 90 million liters per day to 140 million litres by 2026 has not recorded any progress, as no Bank-financed water projects were implemented by mid-term. This lack of progress in water resource management is concerning, particularly given Botswana's vulnerability to water scarcity and the importance of efficient water use for economic resilience.

Transport infrastructure outputs, such as road construction and the identification of bankable transport projects, have also fallen behind schedule. The CSP set a target of constructing 8.35 km of additional dual carriageway roads by 2026, but by mid-term no road construction projects had been initiated. Similarly, no bankable transport investments were identified by mid-term, despite ongoing discussions between the Bank and the GoB regarding potential projects, such as the dualization of the A1 Road and the development of the Martins Drift trade infrastructure. While these discussions are promising, the lack of tangible progress raises concerns regarding the feasibility of meeting the CSP's transport infrastructure targets within the remaining time frame.

The CSP's likelihood of achieving expected development results by 2026

The evaluation found that the likelihood of achieving the Botswana CSP's expected development results by 2026 faces challenges, given the mixed progress across the CSP's pillars and cross-cutting areas. Under **Pillar I**, while there have been notable achievements in fiscal stability and private sector growth, external risks such as declining mineral revenues and high capital expenditures may threaten the sustainability of fiscal consolidation gains. Although fiscal reforms, supported by the ERSP, have brought Botswana's fiscal deficit closer to the CSP target, the risk of widening deficits in the coming years implies the need for continued vigilance going forward. Similarly,

while social protection measures have surpassed expectations with the near completion of the SSR, operational issues still limit its impact.

Pillar II outcomes are behind schedule, particularly in the areas of energy access and renewable energy. National electricity access has improved only marginally, and rural electrification has declined, casting doubt on the feasibility of achieving the ambitious 2026 targets. Renewable energy development has similarly stagnated, with minimal progress in outputs and no Bank-financed projects initiated by mid-term. In addition, the absence of progress in water, waste recycling, and transport infrastructure, and the lack of bankable investments, highlight delays in project execution, making it unlikely that the CSP's broader infrastructure objectives will be met by 2026.

Performance of overall portfolio indicators

The evaluation highlighted an overall improvement in Portfolio Performance Indicators at the mid-term (June 2024) of the CSP compared with the baseline (2022). The number of ongoing operations increased from five to seven, reflecting growth of 60%. However, all nine operations in the 2022-2026 IOP had been expected to be approved in 2022 or 2023 (Table 2). The average project

size rose by 5%, from UA 31.6 million in January 2022 to UA 33.1 million in June 2024. The most significant improvement was observed in portfolio performance, with the percentage of satisfactory projects increasing by 27 percentage points, from 40% to 67%. This improvement indicates that the Bank's efforts to strengthen the capacity of PIUs in portfolio management and capacity building are yielding tangible results. On the other hand, the number of projects at risk remained unchanged at zero, suggesting stability in project performance (Table 4).

The non-lending operations experienced a higher approval rate, with three of the four projects implemented in the 2022-2026 CSP period being non-lending operations. The higher uptake of non-lending operations is largely attributed to their status as grants, unlike lending operations that involve public sector borrowing. The approved non-lending projects include the PPP Capacity Strengthening Project, the SAYEB project, and the project to support Botswana in developing a Long-Term Low Carbon Climate-resilient Strategy (LTS). While these approvals indicate some progress, the overall lower-than-expected approval rates for the Bank's IOP (three out of nine or 33% instead of 100%) for both lending and non-lending programs highlight the challenges in fully executing the Bank's planned portfolio and achieving the CSP objectives.

Table 4: Selected Portfolio Performance Indicators 2022, 2024

SN	Selected Indicators	Jan-22	Jun-24	Change
1	Number of operations (No.)	5	8	+60%
2	Number of projects flagged red (No.)	3	2	-33%
3	Average size of projects (UA million)	31.6	33.1	+5%
4	Average project age (years)	1.6	3	+88%
5	Portfolio performance - % satisfactory	40	67	27 ppts
6	Average disbursement rate (%)	36	99	63 ppts
7	Number of slow disbursing projects (No.)	1	1	0%
8	Number of projects at risk (No.)	0	0	0%
9	Average time from approval to effectiveness (months)	6	8	+33%

Source: Analysis of Country Portfolio Performance Review, June 2024.

Enablers and constraints to CSP implementation at mid-term

The evaluation found that the overall performance of the Bank's 2022–2026 CSP was constrained by the limited approval of lending operations in the IOP. The CSP's IOP planned for nine operations for a total of UA 184.71 million. However, as of mid-2024—halfway through the current CSP's lifespan—only one lending operation, the ERSP II under Pillar I, had been approved and fully disbursed, albeit for a substantially higher amount than foreseen in the IOP. Of the five planned non-lending operations, two were approved—the PPP Capacity Strengthening Project and the LTS—while an unplanned technical assistance project, SAYEB, was also approved in 2022. Furthermore, none of the planned lending operations, comprising three infrastructure investments amounting to UA 87 million, had been approved. The evaluation also found a mismatch between the IOP, and the development results targets set by the CSP's Results Measurement Framework Performance Matrix, which adversely affected the performance of the Bank's CSP at mid-term. Furthermore, the evaluation noted that the most important factor that hindered the achievement of results under the CSP (2022–2026) was Botswana's limited appetite to borrow for public spending and incomplete ERSP Phase II reforms. Delivery on the infrastructure pillar was constrained by the GoB's limited appetite for borrowing from the Bank for infrastructure development. Concerning Pillar I, the ongoing legislative reforms under ERSP Phase II were a major factor hindering the full achievement of strategic outputs and outcomes. For the smaller technical assistance projects and grants, issues such as delayed approvals, disbursement lags, and procurement challenges were key, although these affected less than 3% of the portfolio by volume.

The evaluation found that Botswana's stable political and economic environment facilitated CSP implementation by providing a strong foundation for the Bank's interventions. Botswana's political stability, prudent macroeconomic management, and robust governance framework provided a supportive environment for CSP implementation. The

alignment between the Bank's strategy, Botswana's Vision 2036 and the National Development Plan 11 facilitated the design and execution of projects in fiscal reforms, private sector development, and infrastructure enhancement. In addition, the Bank's provision of technical assistance strengthened the capacity of executing agencies in critical areas such as PPPs, renewable energy, and public financial management, while the provision of business development services for SMEs in the manufacturing sector supported progress toward economic diversification.

The evaluation found that Botswana's reliance on diamond revenues and capacity gaps in project implementation constrained progress toward achieving CSP objectives. Botswana's heavy dependence on diamond revenues exposed the economy to external shocks, including declining global diamond prices, the COVID-19 pandemic, and disruptions caused by international conflicts. These challenges led to a significant drop in mining revenue, exacerbating fiscal pressures. Other notable constraints included Botswana's limited borrowing appetite for public spending, project implementation delays, insufficient coordination between executing agencies, and capacity gaps within executing agencies, such as insufficient technical expertise and high staff turnover. In addition, the expected strong participation of the private sector, particularly in PPPs, was only partially realized. Although initiatives such as the BDC LoC and the PPP Capacity Strengthening Project achieved some progress, structural constraints such as limited access to long-term concessional financing, a small domestic market, skills gap and mismatch impeded private sector growth and investment. Taken together, these factors collectively affected the pace and effectiveness of CSP implementation at mid-term.

Efficiency

This section assesses to what extent the Bank is delivering, or is likely to deliver, its interventions in Botswana in an efficient and timely manner.

The evaluation noted that at mid-term, the CSP achieved a 74% resource utilization rate (UA 136.13 million) against the IOP resource envelope of UA 184.71 million. However, the evaluation found that efficiency in utilizing inputs to achieve planned results varied across projects. The ERSP and BDC LoC successfully met most of their objectives on schedule and are likely to achieve all targets by the end of the CSP period. In contrast, other projects experienced delays due to prolonged

project approval to effectiveness and disbursement periods (see Table 5), procurement challenges, and limited local project management capacity. For example, the Zambezi Integrated Agro-Commercial Development Project encountered a six-month delay in reaching effectiveness and first disbursement, affecting its implementation. Similarly, the SAYEB project was affected by bureaucratic and project coordination challenges.

Table 5: Time lag analysis and disbursement ratios of projects ongoing under the Botswana CSP (2022–2026)

SN	Project Name	Approval Date	Effectiveness Date	Time from Approval to Effectiveness (in Months)	Time from Approval to 1st Disbursement (in Months)	Disbursement Rate at CSP Mid-term	Number of Extensions
1	Botswana Support to Economic Diversification Technical Assistance	29 June 2018	17 September 2018	3	15	74.3%	2
2	Botswana Development Cooperation Line of Credit	24 April 2019	26 May 2020	13	14	100%	1
3	Botswana Renewable Energy Support Program	December 2021	20 May 2022	5	7	12.1%	1
4	Zambezi Integrated Agro-Commercial Project	4 May 2021	20 May 2022	12	12	6.9%	1
5	PPP Capacity Strengthening	7 August 2022	8 November 2022	3	3	27.6%	2
6	Economic Recovery Support Program II	30 November 2022	23 January 2024	14	14	100%	1
7	Scaling-up and Accelerating Youth Employment in Botswana (SAYEB)	4 May 2022	31 August 2024	27	n/a	98.9%	3
8	Support Botswana to develop a Long-Term Low Carbon Climate-resilient Strategy (LTS)	2022	n/a	n/a	n/a	100%	n/a
Average values				11	11	74.3%	

Note: According to the Bank's Presidential Directive (PD) 02/2015 in force until 2023, the standard time from project approval to effectiveness is 6 months.

Source: IDEV Evaluation Team.

Box 1: Red-flagged operations due to delays and inefficiencies

According to project documents and CPPR data, two operations ongoing under the Botswana CSP 2022–2026 were red-flagged due to delays and inefficiencies, adversely impacting their overall effectiveness. The Zambezi Integrated Agro-Commercial Development Project, effective for three years, has a disbursement rate of only 6.91%, leading to its classification as a Problematic Project. The prolonged implementation delay necessitated ongoing discussions to determine appropriate corrective measures. Similarly, the Botswana Renewable Energy Support Program has faced slow procurement processes, with less than 50% of the project funds signed into contracts after 2.5 years of effectiveness. To address these delays, the Botswana Energy Regulatory Authority has agreed to amend the current consultant's contract to include additional activities to enhance procurement efficiency.

The evaluation found that time-lags between project approval, effectiveness,⁶ and first disbursement undermined the efficiency of project implementation under the CSP 2022–2026. An analysis of Table 5, shows that the portfolio took an average of 11 months from project approval to effectiveness, exceeding the standard 6-month requirement by an average of five months. In addition, the average delay from approval to first disbursement was five months. According to evidence from project documents and the CPPR mission in Gaborone, three reasons accounted for the project implementation delays. The first was the delayed award of the project's contracts, which affected: (i) the Zambezi Integrated Agro-Commercial Development Project; (ii) the Support to Economic Diversification Project – TA; and (iii) the Renewable Energy Support Program – SEFA TA. Secondly, bidding and evaluation delays affected several projects due to the poor quality bidding documents and evaluation reports, a lack of experience and familiarity of PIU staff with Bank standard procedures, and failure to keep proposals valid before award. The third main reason for delays was the cumbersome approval process within executing agencies. These delays were particularly evident in the Zambezi Integrated Agro-Commercial Project, which encountered a six-month delay before reaching both effectiveness and first disbursement, resulting in a low disbursement ratio of just 6.9% at mid-term. Similarly, ERSP II faced an eight-month delay before reaching effectiveness and first disbursement respectively. These extended time-lags—from initial approval to the anticipated completion—reflect inefficiencies from procurement and financial management procedures at the Bank, and weak capacity in project executing agencies,

ultimately compromising the timely delivery and effectiveness of project outcomes.

The evaluation found that the BDC LoC and the ERSP have achieved full disbursement at mid-term of the CSP. However, other projects, such as the Botswana Renewable Energy Support Project and the Zambezi Integrated Agro-Commercial Project had low disbursement rates of 12.1% and 6.9% respectively. As of June 2024, only 12% of the committed funds for the Renewable Energy Support Project had been disbursed despite the project being well into its extended timeline. The SAYEB project, which had its closing date extended three times, from August 2024 to February 2025, also faced delays in key activities due to slow and cumbersome disbursement processes, even though 98.9% of its funds had been disbursed.

The evaluation found that inadequate project management capacity was a barrier to efficient project implementation across the Bank's portfolio. Evidence from stakeholder interviews and project IPRs shows that projects such as the Zambezi Integrated Agro-Commercial Development Project suffered from an absence of key personnel, including a full-time project accountant and procurement officer, leading to bottlenecks in financial management and procurement processes. Furthermore, a lack of capacity building for local teams to effectively manage AfDB procedures was an important issue. This was particularly true in projects involving technical assistance. Similarly, the Renewable Energy Support Project faced challenges due to insufficient capacity and familiarity with AfDB procedures among local teams, leading to

poor quality bidding documents and delays in procurement. These issues delayed project activities, leading to multiple extensions, thereby affecting the overall performance and timely completion of these projects.

Bureaucratic delays and coordination challenges within the Bank and among government counterparts were also found to adversely affect project efficiency, leading to extended timelines and multiple extensions. According to project documents and stakeholder interviews, many projects experienced delays due to lengthy communication and approval processes, particularly those involving multiple stakeholders. The SAYEB project, for example, faced procurement delays due to extended turnaround times on approvals, which were further complicated by multi-layered communication processes between the implementing agency and the Bank. As a result, the project activities were delayed, resulting in the need for multiple extensions.

The evaluation found coordination issues between the Bank and government ministries, and within the ministries, which considerably hindered the efficiency of project implementation. Evidence from the CPPR, stakeholder interviews, and IPRs noted that coordination failures and overlapping responsibilities created major obstacles for the Bank's projects. For example, the Zambezi Integrated Agro-Commercial Development Project experienced major setbacks due to conflicting responsibilities between the Ministry of Agricultural Development and Food Security and the Ministry of Lands and Water Affairs. Evidence from the CPPR mission revealed that the absence of an AfDB office in Botswana also hindered effective, real-time collaboration with government entities and other stakeholders, contributing to delays and inefficiencies in project execution. Stakeholders interviewed emphasized that this lack of physical presence limited the Bank's engagement in local coordination frameworks and opportunities for co-financing, particularly in areas such as entrepreneurship and private sector development.

Cross-cutting Issues

This section examines the integration of cross-cutting issues—gender, youth, environmental sustainability, and regional integration—into the Bank's CSP and operations in Botswana.

The evaluation found evidence that the Bank's CSP in Botswana incorporated cross-cutting issues such as gender, youth, environmental sustainability, and regional integration, albeit with varying degrees of success. Project data indicate a notable emphasis on gender equity within the Botswana CSP, particularly exemplified by the BDC LoC, which was specifically structured to promote gender equity and has successfully created 6,768 jobs, with 2,571 (38%) of the jobs occupied by women at mid-term. However, the broader objective of supporting 30+ women-led SMEs remained unmet due to a lack of financing for targeted gender interventions such as the Women Empowered Businesses Project. This focus aligns with the broader objective of the CSP to prioritize support for women during Botswana's economic recovery from the pandemic. Nevertheless, gender considerations in other initiatives, such as the Zambezi Integrated Agro-Commercial Development Project, were less prominently featured, highlighting a need for more consistent gender mainstreaming across the CSP portfolio.

The evaluation noted that efforts to promote youth empowerment under the CSP have shown mixed results, with certain initiatives achieving their goals while others faced implementation challenges. The SAYEB project is a key initiative that disbursed 98.9% of its committed funds, with activities such as the Youth Business Elevator Challenge to foster youth entrepreneurship. However, due to delays in disbursement processes, only 25% of the challenge was completed, limiting the project's impact on youth employment. In addition, while the BDC project facilitated youth employment within SMEs, the broader impact of youth-specific outcomes in the ERSP was more indirect, focusing primarily on macroeconomic stabilization rather than

directly targeting youth empowerment. This indicates a gap between strategic intent and effective implementation in youth-focused initiatives across the CSP.

The evaluation found that, while climate change considerations were integrated into the CSP, their implementation and effectiveness were limited. The Bank supported Botswana in developing a Long-Term Low Carbon Climate-resilient Strategy (LTS), but despite 100% disbursement this had not materialized into a national strategy by mid-term. The evaluation was unable to assess the progress towards climate-proofing projects at the CSP mid-term due to insufficient evidence. Although 33% of projects were climate-proofed at baseline, the available data does not offer a reliable basis for evaluating progress towards the 100% target set for 2026. Among the four operations approved at mid-term (one PBO and three TAs), none were subject to the same climate-proofing requirements as direct investment projects that generate emissions

or face climate risks. The Zambezi Integrated Agro-Commercial Development Project was the only climate-proofed project in the Bank's active portfolio at mid-term, with most of the other operations being non-lending projects, limiting opportunities to apply climate resilience measures in line with the Bank's climate-proofing assessment methodology. Climate finance was minimal, with just 0.56% of Bank financing allocated to climate-related projects, far short of the 40% target. The Zambezi project faced delays in completing its Environmental and Social Impact Assessment due to procurement challenges and consultant management issues, raising concerns regarding compliance with environmental regulations and potential ecological impacts. In addition, efforts to align Botswana's energy policies with global sustainability goals, particularly regarding reliance on coal, have progressed slowly. These challenges highlight the difficulty in balancing Botswana's national priorities with the Bank's climate change objectives in the country. ■

Conclusions, Lessons, and Recommendations

Conclusion

The MTE of the Bank's CSP (2022–2026) for Botswana reveals a mixed performance with notable achievements and significant challenges.

Relevance

The CSP aligns well with Botswana's Vision 2036 and National Development Plans, addressing economic diversification and climate resilience. Key projects such as the ERSP and the PPP capacity strengthening project have been instrumental in enhancing fiscal stability, enabling business environment and boosting SME competitiveness.

Coherence

Internal portfolio coherence is strong, with projects building on previous efforts. The Bank's collaboration with the GoB has been crucial, particularly in developing the ERSP phases. However, external coherence is mixed, with some successful partnerships but limited overall coordination.

Effectiveness

Positive outcomes include improved fiscal stability, with the fiscal deficit decreasing from 8.4% of GDP in 2020/21 to 4.7% by 2023, and growth in private sector investment. However, challenges persist in slow progress in diversifying the real sector's contribution to GDP, and the economy remains heavily reliant on diamond revenues. Infrastructure development targets for national electricity access and renewable energy generation are lagging, with minimal progress in rural electrification and renewable energy output.

Efficiency

Project implementation faced delays due to procurement challenges and limited local project management capacity. The CSP achieved a 74% resource utilization rate, partially due to a larger than expected budget support programme, but efficiency varied across projects.

Cross-cutting Issues

Mixed progress in gender inclusion, youth employment and climate resilience, with significant gaps in mobilizing climate finance.

In conclusion, while the CSP has made notable progress, addressing the identified challenges and enhancing implementation efforts is crucial in achieving the strategy's objectives by 2026.

Lessons

The following key lessons can be drawn from the MTE of Botswana's CSP:

Lesson 1: Anchoring the Bank's IOP priorities and targets on a thorough contextual analysis, including Botswana's prospective borrowing plans for public spending, enhances the overall performance of the strategy.

The MTE underscores the need to align the Bank's strategic objectives with Botswana's appetite to borrow for public spending, which has affected the Bank's ability to implement the planned infrastructure projects in energy, water, and transport. Future IOPs should explicitly incorporate realistic assumptions on the GoB's borrowing plans, supported by in-

depth contextual analyses. In addition, greater emphasis on private sector participation and co-financing mechanisms will be critical to achieving the development targets of future CSPs.

Lesson 2: Enhancing fiscal reforms and diversifying revenue sources are crucial pathways toward strengthening fiscal resilience.

The evaluation found that Botswana's reliance on mineral resources poses significant fiscal risks, underscoring the need for fiscal resilience and long-term economic stability. Accelerating current fiscal reforms, especially in public financial management, is essential to enhance efficiency and strengthen fiscal stability. Legislative reforms, such as the Tax Administration Bill, were identified as important in increasing Botswana's fiscal capacity. In addition, expanding the revenue base to include non-mineral sectors would mitigate the fiscal vulnerabilities associated with commodity market fluctuations, promoting more sustainable revenue streams and contributing to Botswana's economic resilience.

Lesson 3: Forming strategic partnerships and leveraging co-financing opportunities can significantly enhance resource mobilization and broaden the impact of development initiatives.

The limited co-financing efforts in the CSP, with only a few projects benefiting from external partnerships, restricted its ability to maximize impact. Enhancing collaboration with DPs and leveraging private sector financing will be critical for addressing resource gaps and scaling-up the impact of future interventions.

Lesson 4: Strengthening project management and procurement capacities is vital for timely project execution.

Delays in projects, such as the Renewable Energy Support Project and the Zambezi Integrated Agro-Commercial Project, were primarily due to inefficiencies in project management and procurement processes. These delays hindered the

timely delivery of outcomes, highlighting the need for enhanced project management capabilities and streamlined procurement processes. By addressing these operational bottlenecks, the Bank can considerably reduce project timelines and improve implementation efficiency, leading to more timely and impactful results.

Lesson 5: Sustaining flexibility in the Bank's program design and implementation can strengthen its ability to respond to external shocks, adapt to evolving priorities, and address fiscal and social challenges during crises more effectively.

The Bank's flexibility in designing and implementing programs such as the ERSP proved essential for addressing Botswana's fiscal challenges during the COVID-19 pandemic. The ERSP allowed for timely fiscal reforms that reduced the deficit from 8.4% to 4.7% of GDP by 2023. Similarly, the approval of the SAYEB project, which was not initially programmed in the IOP, highlighted the Bank's responsiveness to evolving priorities such as youth unemployment. However, the evaluation noted that more long-term stabilization measures will be needed to sustain this progress, particularly as external pressures—such as declining mineral revenues—threaten to reverse these gains. The ability to rapidly adapt to evolving economic and social conditions is a key takeaway for future program designs.

Lesson 6: Aligning skills development initiatives with market and industry standards and demand ensures that youth acquire the practical skills desired by employers, which is essential for reducing youth unemployment and fostering economic growth.

The high youth unemployment rate in Botswana, exacerbated by a mismatch between educational outputs and market demands, demonstrates the importance of aligning skills development programmes with labor market needs to improve employment outcomes, foster economic growth and support economic diversification.

Recommendations

Based on the MTE's findings, IDEV recommends the following to the Bank:

Recommendation 1: Maintain the Bank's strategic focus in Botswana on building economic resilience and advancing infrastructure development, while refining their operational priorities for the rest of the CSP to better reflect the evolving context and available resources.

Recommendation 2: Enhance the efficiency of the Bank's CSP operations by improving the coordination between executing agencies and strengthening local project management capacity.

Recommendation 3: Enhance the integration of cross-cutting priorities within the CSP by specifically intensifying efforts to mainstream gender equality

and empower youth during the remaining CSP period.

Priority areas of action to consider include:

- Increasing support for interventions that offer skills training aligned with market demands and industry standards to enhance youth employment; and
- Ensuring continued support for women-led businesses, focusing on high-growth potential sectors to drive economic diversification and inclusion.

Recommendation 4: Enhance strategic partnerships and resource mobilization by collaborating with development partners to maximize the impact of the CSP during its remaining period, particularly in co-financing, knowledge-sharing, and technical support for key infrastructure projects. ■



Mother in a village carrying her child on her back.

Annexes

Annex 1: Methodological Approach	50
Annex 2: Botswana CSP (2022–2026) Reconstructed Theory of Change	53
Annex 3: Botswana CSP (2022–2026) Results Framework: Comparison of Mid-term Achievements and Targets	54
References	57
Endnotes	58

Annex 1: Methodological Approach

The evaluation was undertaken in three main phases: Inception, stakeholder engagement, and data analysis and reporting (Figure A1). The activities in Phase 1 include document review, preparation of data-collection instruments, sampling, and writing the Inception Report. Phase 2 commenced with stakeholder engagement at the Bank's regional office in South Africa (RDGS) and in Gaborone, Botswana. This engagement was important as it coincided with the Mid-Term Review (MTR) of the CSP during the same country visit period. This overlap offered an opportunity for the MTR and Mid-Term Evaluation (MTE) teams to conduct joint field visits and use the same programme for stakeholder engagements, thereby engaging the same stakeholders in unified meetings. However, in addition to the joint meetings, the Evaluation Team organized separate meetings with stakeholders to pursue further lines of inquiry where necessary. This coordination also helped synchronise data-collection activities between the MTE and MTR. Data collection targeted all key informants from implementing government institutions, the private sector, civil society organisations (CSOs), and beneficiaries. This included targeted project visits to assess the performance of selected CSP interventions at the community level, which was conducted alone by the Evaluation Team. Given the limited time available, the project visits were selected based on proximity to Gaborone. Phase 3 focused on data cleaning, analysis, interpretation, verification, triangulation and reporting. Verification involved stakeholder engagement to confirm information and address any identified gaps.

Figure A1: Phases of the methodology



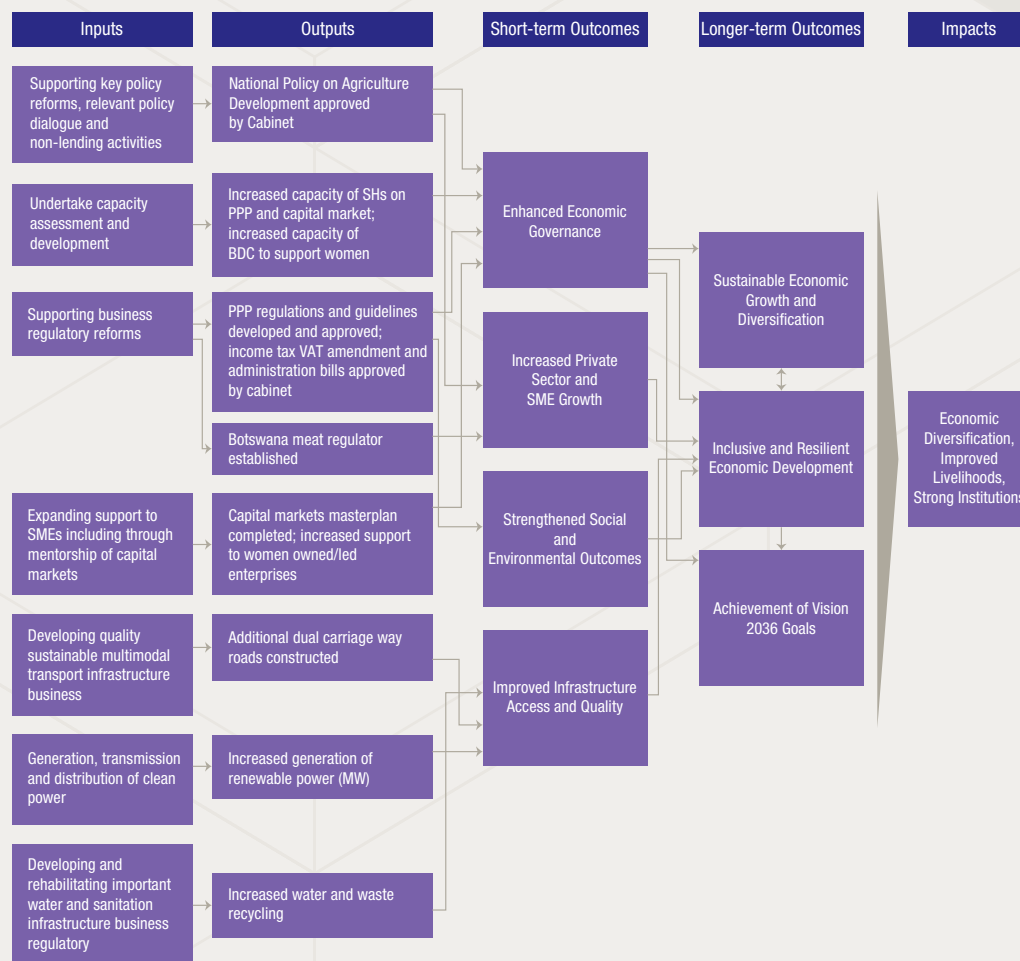
The MTE examined the Bank's portfolio of operations (both lending and non-lending) approved during the CSP period (2022–2024). In addition, it reviewed ongoing projects approved before the CSP period that aligned with the current pillars of the Bank's CSP. Key informants included Project Implementing Units (PIUs) and their parent ministries responsible for executing these projects/operations. Stakeholders with supervisory roles, such as the Ministry of Finance, National Planning, Audit, and non-governmental organisations (NGOs)/civil society organisations (CSOs), were also interviewed using evaluation questions and sub-questions presented in Table A1 (Evaluation Matrix).

Table A1: Evaluation Matrix

Evaluation Criteria	Evaluation Question (EQ)	Evaluation Sub-questions
Relevance	EQ. 1: To what extent are the objectives of the Bank's 2022–2026 country strategy and programme (including the pipeline aligned with relevant corporate and sector strategies of the Bank, Botswana's national vision and development frameworks, and the needs and priorities of beneficiaries? Which stakeholders were consulted at the design stage of the CSP? What was the level of stakeholder participation?	a. How were the various CSP intervention areas selected – what processes were followed; who was consulted? b. To what extent was the CSP aligned with the Bank's policies, strategies and other programs? c. To what extent was the CSP aligned with Botswana's national development documents (policies, strategies, etc.)? d. To what extent are the interventions implemented under the CSP contributing to its overall goal and objectives? e. To what extent was the design of the CSP conducive to leveraging resources and services from within the Bank, cooperating partners, the private sector, civil society services?
Coherence	EQ2a. To what extent do the Bank's lending and non-lending activities in the CSP (2022–2026) complement the Bank's existing operations?	a. To what extent are CSP interventions linked to and coordinated with other global, continental or regional programs? b. To what extent were there synergies, harmonization, complementarity, integration and coordination between CSP interventions and the other interventions at regional and continental level which focus on similar areas?
	EQ2b. To what extent do the Bank's lending and non-lending activities complement the development interventions of other DPs in Botswana?	a. Which areas has the Bank registered key impact in its collaboration with other partners? What factors have led to the contribution to the impact? b. What factors undermine effective partnership?
Effectiveness	EQ3a. To what extent has the Bank's interventions been effective in achieving the planned results?	a. To what extent has the CSP achieved or is likely to achieve the expected results in targeted interventions? b. To what extent has the Bank's support contributed to improvement in the CSP focus areas?
	EQ3b. What are the internal and external factors that have facilitated or impeded achievement of the CSP's objectives, and how has the Bank's strategy adapted to these factors?	a. What factors stimulated the achievement of results the most and how did this happen? b. What factors impeded the achievement of results the most and how did this happen?
Efficiency	EQ4. How efficiently has the Bank organized and managed its resources to deliver on the CSP?	a. To what extent has the Bank been efficient in disbursing its CSP committed funds to various recipient government institutions and other stakeholders? b. To what extent has the Bank's inputs been used efficiently to achieve planned results (timeliness, resource use efficiency and implementation progress)? c. What monitoring mechanisms are in place to track the CSP's performance and how effective have they been?
Cross-cutting issues	EQ5. How well do the Bank's strategy and programs in Botswana incorporate cross cutting issues, including gender, youth, the environment (including climate change), and regional integration?	a. To what extent has the CSP contributed to gender participation and empowerment in the focus areas? b. What specific activities have been implemented under the CSP to promote youth empowerment and participation? And to what extent have these activities been effective? c. To what extent are environmental management and climate change issues being addressed in the CSP? d. To what extent have the Bank's resources in Botswana been directed toward regional integration?

Lessons and Recommendations	EQ6. What lessons and recommendations can be drawn from implementation of the CSP in Botswana to better inform the implementation of the remainder of the CSP considering Botswana's middle-income country status?	a. What have been the major enabling and inhibiting factors for the CSP's performance in the different areas of intervention? b. What are the key lessons that can be drawn from the design and implementation of the CSP so far? c. To what extent are good practices documented, shared and integrated in the implementation of CSP? d. To what extent was innovation central to the design and implementation of CSP?
-----------------------------	---	--

Annex 2: Botswana CSP (2022–2026) Reconstructed Theory of Change



Assumptions

- Continued political stability that supports consistent policy implementation.
- Government continued commitment to pursue economic diversification, infrastructure development, reform agenda, and support to a conducive macro-economic policy framework to stimulate economic growth.
- Active participation and investment from the private sector, especially in PPPs, driven by a favourable business environment.
- Adequate capacity building within the GoB and the private sector to implement and sustain reforms and projects.
- Adequate and timely disbursement of financial resources from AfDB, co-financing partners, and private sector investments.
- Effective collaboration and engagement with stakeholders to ensure broad-based support and participation.
- Favorable global economic conditions, including stable commodity prices and demand in the mining sector.
- Effective implementation of environmental and climate resilience measures, minimizing the impact of climate change on infrastructure and agricultural projects.
- Active inclusion of marginalized groups, particularly women and youth, in economic activities and decision-making processes.

Annex 3: Botswana CSP (2022–2026) Results Framework: Comparison of Mid-term Achievements and Targets

Performance Area	Monitoring Indicators	Baseline (2020)	Mid-Term	Target (2026)	Sources
Priority Area I: Building Economic Resilience Through Support to Economic Governance and Private Sector (Outcomes)					
Outcomes	Number of PPP transactions executed under the new framework	0	0	3	
	Fiscal deficit/GDP ratio	-8.4% (2020/21)	-4.7% (2023)	-4.8% (2021/22)	Botswana 2024 Article IV Consultation
	Private gross fixed capital formation as % of GDP	19.5% (2020)	23.2% (2023)	27.4% (2023)	Botswana 2024 Article IV Consultation
	Credit to the private sector (Annual %)	5.3% (2020)	Projected 8.4% (2023)	13.5% (2023)	Botswana 2024 Article IV Consultation
	Real sector contribution to GDP (%)	2.1% (2020)	Not available	5.0% (2023)	Statistics Botswana (2023)
	Targeting of social protection schemes enhanced (% of beneficiaries uploaded to the Single Social Registry) (% of women and youth)	0 (2019)	98% (2023)	75.8% (2023)	Botswana 2024 CSP MTR Aide Memoire
	Domestic companies stock market capitalization (BWP billion)	BWP 35.6 billion	BWP 48.3 billion (February 2024)	BWP 40 billion	Financial Stability Council (2024)
	Share of pension fund assets invested domestically (%)	36.5%	40.6% (2023)	50%	Financial Stability Council (2024)
	Increased productivity and revenues for women (no. of jobs created)	30	No data on revenue and productivity		
Outputs	2,571 jobs created for women	300 SMEs translates to a maximum of 3,000 jobs for women	NSO Results Brief		
	PPP regulations and guidelines	No	No	Yes	PPP Capacity Strengthening Project Implementation Progress Report (IPR, December 2023)
	PPP capacity needs assessment conducted	No	Partially	Yes	PPP Capacity Strengthening Project Implementation Progress Report (IPR, December 2023)
	PPP capacity development program developed and rolled out	No	No	Yes	PPP Capacity Strengthening Project Implementation Progress Report (IPR, December 2023)

	Income Tax and VAT (Amendment) Bills approved by Cabinet	No	No	Yes	PBO Draft PCR
	Tax Administration Bill approved by Cabinet	No	No	Yes	PBO Draft PCR
	National Policy on Agriculture Development approved by Cabinet	No (2019/20)	No	Yes (2022/23)	United Nations in Botswana
	Botswana Meat Regulator established	No (2019/20)	Yes (2024)	Yes (2022/23)	Government of Botswana and News Outlets
	Development of a Capital Markets Masterplan	No	No	Yes	Portfolio Review
	Training for capital market stakeholders (BSE, NBFIRA)	0	0	10	Portfolio Review
	Mentorship programs for SMEs capital market assets supported	0	0	1	Portfolio Review
	Contribute the BDC support to women-owned/led enterprises (No.)	3 (2018)	257 (2024)	30+ (2023)	BDC Project Documents
	Higher capacity of BDC and its subsidiaries to support women (No.)	0	0	10+ staff trained	BDC Project Documents
Priority Area II: Infrastructure Development for Improved Competitiveness and Productivity (Outcomes)					
Outcomes	National electricity access	71.8% (2020)	73.9% (2022/2023)	89%	Africa Energy Portal (2024)
	Rural electrification (national)	26.2% (2020)	25% (2022)	37%	Africa Energy Portal (2024)
	Renewable electricity output (% of total electricity output)	0	0.23%	15%	International Renewable Energy Agency (IRENA) (2024)
	Effluent utilization as an alternative source of water (% of total supply)	20%	Not available	28%	Portfolio Review
	Lower travel time around Aerotropolis (%)	0	0	15%	Botswana CSP Portfolio
	Lower vehicle operations cost (US\$/km)	0.23	0	0.18	Botswana CSP Portfolio
	Bankable transport investments identified (No.)	0	0	4	Botswana CSP MTR Wrap Up with the GoB
Outputs	Generated renewable power (MW)	6	6	675	International Renewable Energy Agency (IRENA) (2024)
	Power transmission line built (km)	2,250 km	0	3,269 km	Portfolio Review
	Higher water and waste recycling (liters/day)	90 million	0	140 million	Portfolio Review
	Additional constructed dual carriageway roads (km)	0	0	8.35 km	Portfolio Review
	New techno-economic studies conducted (No.)	0	0	6	Portfolio Review

Cross-Cutting Issues: Climate Change, Gender, Youth Skills Development, and Job Creation					
Climate Change & Green Growth	Long-Term Low Carbon Climate Resilience Strategy	No	0	Yes	2024 Consolidated Issues Note
	Climate-proof projects (% of operations)	33%	25% (1 project)	100%	AfDB Botswana Portfolio
	Climate finance (% of financing)	0	0.56%	40%	AfDB Botswana Portfolio
Gender	No. of supported women-led SMEs accessing credit through BDC	3 (2018)	Not available	30+	CPPR

Source: Evaluation Team's calculation from multiple sources of evidence.

References

1. Africa Energy Portal. 2024. Botswana profile. Africa Energy Portal. Retrieved from <https://africa-energy-portal.org/country/botswana>
2. African Development Bank. 2023. Botswana – Economic Recovery Support Program – Economic and Environmental Report. Project Code: P-BI-ICO-001.
3. African Development Bank. 2023. Botswana – PPP Capacity Strengthening Project – Implementation Progress and Results Report. Project Code: P-BW-KFO-003.
4. African Development Bank. 2023. Botswana – Support to Economic Diversification Technical Assistance Project – Implementation Progress and Results Report. Project Code: P-BW-BZO-001.
5. African Development Bank. 2023. Botswana: Zambezi Integrated Agro-Commercial Development Project - Technical Assistance Fund for Project Preparation – Implementation Progress and Results Report. Project Code: P-BW-AAO-011.
6. African Development Bank. 2023. Botswana CSP MTR and CPPR Mission – Final Wrap-up Presentation.
7. African Development Bank. 2023. Botswana Development Corporation – MIC Technical Assistance Grant to Botswana Development Corporation - Project Completion Report.
8. African Development Bank. 2023. Botswana Development Corporation Line of Credit – Results Brief. Project Code: P-BW-HAA-004.
9. African Development Bank. 2023. Botswana Economic Recovery Support Program – Enhanced Economic Reform Report, November 2022.
10. African Development Bank. 2024. Aide-memoire for the Country Strategy Paper 2022-2026 mid-term review and 2024 Country Portfolio Performance Review consultation mission, Botswana.
11. Bank of Botswana. 2024. Monetary Policy Report, June 2024. Bank of Botswana.
12. Botswana Investment and Trade Centre. 2024. Investment promotion and private sector competitiveness report. Retrieved from <https://www.bitc.co.bw>
13. Financial Stability Council. 2024. Financial Stability Report – May 2024. Financial Stability Council, Republic of Botswana.
14. Government of Botswana. 2024. Twelfth National Development Plan (NDP 12) – Draft Overview. National Planning Commission.
15. International Monetary Fund. 2023. Botswana: 2023 Article IV Consultation – Press Release; Staff Report; and Statement by the Executive Director for Botswana (Country Report No. 23/317). International Monetary Fund.
16. International Monetary Fund. 2024. Botswana: 2024 Article IV Consultation – Press Release and Staff Report (Country Report No. 24/286). International Monetary Fund.
17. International Renewable Energy Agency (IRENA). 2024. Renewable energy profile: Botswana. Retrieved 4 October 2024, from https://www.irena.org/-/media/Files/IRENA/Agency/Statistics/Statistical_Profiles/Africa/Botswana_Africa_RE_SP.pdf
18. Ministry of Employment, Labour Productivity, and Skills Development, Republic of Botswana. 2024. Skills audit report. Retrieved from <https://www.hrdc.org.bw/>
19. Ministry of Finance, Republic of Botswana. 2024. Fiscal and Monetary Policies Update. Retrieved from <https://www.finance.gov.bw>
20. Statistics Botswana. 2022. Gross Domestic Product: First Quarter of 2022. Statistics Botswana. Retrieved on 3 September 2024, from <https://www.statsbots.org.bw>
21. Statistics Botswana. 2023. Gross Domestic Product: First Quarter of 2023. Statistics Botswana. Retrieved from <https://www.statsbots.org.bw>
22. Statistics Botswana. 2023. Quarterly Multi-Topic Survey: Labour Force Module Quarter 3, 2023. Statistics Botswana. Retrieved on 3 September 2024, from <https://www.statsbots.org.bw>
23. Statistics Botswana. 2024, August 30. National Energy Use Survey Main Report 2022/23. Statistics Botswana. Retrieved from <https://www.statsbots.org.bw/national-energy-use-survey-main-report-202223>
24. Statistics Botswana. 2024. Botswana National Accounts 2023. Retrieved from <https://www.statsbots.org.bw>
25. Statistics Botswana. 2024. Gross Domestic Product: First Quarter of 2024. Statistics Botswana. Retrieved on 3 September 2024, from <https://www.statsbots.org.bw>
26. World Bank. 2024. World Development Indicators. Retrieved 2 September 2024, from <https://databank.worldbank.org/source/world-development-indicators>

Endnotes

1. ADB/BD/WP/2021/229/Rev.1/Approved, approved 23 March 2022.
2. ADB/BD/WP/2021/229/Rev.1/Approved, approved 23 March 2022.
3. The Gini index is a widely used measure of inequality. It captures the extent to which income or wealth distribution deviates from perfect equality with values ranging from 0 (perfect equality) to 100 (maximum inequality).
4. UA 1.00 represented US\$1.42 at project approval in March 2022.
5. This figure is estimated by calculating the highest number of jobs that can be created by 300 SMEs with each typically employing 5–10 employees according to the Bank's CSP (see footnote 14). The highest possible total number of jobs that can be created by the 300 SMEs at the end of the CSP is 3,000 jobs (300 x 10). Assuming parity in employment between men and women, women will occupy 50% of the jobs created (1,500 jobs).
6. Effectiveness in this section means the “start of project implementation”.



IDEV

Independent Development Evaluation
African Development Bank



About this evaluation

The Independent Development Evaluation (IDEV) at the African Development Bank (AfDB or “the Bank”) conducted a Mid-Term Evaluation (MTE) of the 2022–2026 Country Strategy Paper (CSP) for Botswana, assessing eight projects with a total commitment of UA 198.42 million (US\$281.76 million). The evaluation aimed to recommend corrective actions that address emerging challenges and enhance performance for the remainder of the CSP period.

The evaluation found that the CSP’s focus on economic governance, private sector support, and infrastructure was well-aligned with Botswana’s national development priorities and the Bank’s strategic objectives. However, implementation challenges were evident, particularly in energy access and renewable energy initiatives, which were lagging. Delays in project execution were primarily due to procurement inefficiencies and limited capacity within executing agencies. While fiscal resilience efforts have progressed, economic diversification remains slow, and private sector investment faces structural barriers.

Key lessons from the evaluation include the necessity of aligning the Bank’s planned lending and non-lending projects with Botswana’s fiscal strategy and cautious borrowing approach, enhancing project management and procurement capacity for timely project execution, and aligning skills development initiatives with labor market demands.

IDEV recommends maintaining the Bank’s strategic focus on economic resilience and infrastructure development in alignment with Botswana’s fiscal strategy. Other recommendations include improving coordination between executing agencies and strengthening local project management capacity for implementation efficiency; enhancing integration of cross-cutting priorities, particularly gender equality and youth empowerment; and strengthening partnerships and co-financing with development partners to maximize the CSP’s impact.



IDEV

Independent Development Evaluation
African Development Bank

African Development Bank Group

Avenue Joseph Anoma, 01 BP 1387, Abidjan 01, Côte d'Ivoire

Phone: +225 27 20 26 28 41

E-mail: idevhelpdesk@afdb.org

